

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION**



**Crowe Malaysia PLT**  
201906000005 (LLP0018817-LCA) & AF 1018  
Chartered Accountants  
Level 16, Tower C, Megan Avenue II  
12, Jalan Yap Kwan Seng  
50450 Kuala Lumpur  
Malaysia  
Main +6 03 2788 9999  
[www.crowe.my](http://www.crowe.my)

**19 DEC 2025**

The Board of Directors  
JRK Holdings Berhad  
No. 122, Jalan Dataran Cheras 8,  
Cheras Traders Square,  
43200 Cheras, Selangor, Malaysia.

Dear Sirs

**JRK HOLDINGS BERHAD ("JRK Holdings" or the "Company")  
REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF  
FINANCIAL POSITION INCLUDED IN A PROSPECTUS**

We have completed our assurance engagement to report on the compilation of Pro Forma Consolidated Statements of Financial Position of JRK Holdings and its subsidiaries (collectively known as the "Group") as at 31 July 2025 together with the accompanying notes thereon, for which we have stamped for the purpose of identification, prepared by the Board of Directors of the Company.

The Pro Forma Consolidated Statements of Financial Position have been prepared for inclusion in the Prospectus in connection with the listing and quotation for the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad ("the Listing").

The application criteria on the basis of which the Board of Directors of the Company have compiled the Pro Forma Consolidated Statements of Financial Position are described in the notes thereon to the Pro Forma Consolidated Statements of Financial Position. The Pro Forma Consolidated Statements of Financial Position are prepared in accordance with the requirements of the Prospectus Guidelines issued by the Securities Commission Malaysia ("Prospectus Guidelines") and the Guidance Note for issuers of Pro Forma Financial Information issued by the Malaysian Institute of Accountants ("Guidance Note").

The Pro Forma Consolidated Statements of Financial Position have been compiled by the Board of Directors to illustrate the impact of the transactions as set out in the notes thereon to the Pro Forma Consolidated Statements of Financial Position as at 31 July 2025 as if the events have been in existence throughout the financial year. As part of this process, information about the Group's financial position as at 31 July 2025 has been extracted by the Board of Directors from the Group's audited financial statements as at 31 July 2025.

### 13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (*CONT'D*)



#### THE BOARD OF DIRECTORS' RESPONSIBILITIES

The Board of Directors of the Company is responsible for compiling the Pro Forma Consolidated Statements of Financial Position on the basis as described in notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines.

#### REPORTING ACCOUNTANTS' INDEPENDENCE AND QUALITY CONTROL

We are independent of the Company in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code") and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our firm applies International Standard on Quality Management 1 (ISQM 1), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements* issued by the International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants and accordingly maintains a comprehensive system of quality management including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal regulatory requirements.

#### REPORTING ACCOUNTANTS' RESPONSIBILITIES

Our responsibility is to express an opinion, as required by the Prospectus Guidelines issued by the Securities Commission Malaysia, about whether the Pro Forma Consolidated Statements of Financial Position have been compiled, in all material respects, by the Board of Directors of the Company on the basis as described in notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines.

We conducted our engagement in accordance with the International Standard on Assurance Engagement (ISAE) 3420, *Assurance Engagement to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus*, issued by the International Auditing and Assurance Standards as adopted by the Malaysian Institute of Accountants. This standard requires that we plan and perform procedures to obtain reasonable assurance about whether the Board of Directors has compiled, in all material respects, the Pro Forma Consolidated Statements of Financial Position on the basis as described in notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines.

For purpose of this engagement, we are not responsible for updating or reissuing any reports or opinion on any historical financial information used in compiling the Pro Forma Consolidated Statements of Financial Position, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the Pro Forma Consolidated Statements of Financial Position.

### 13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)



#### REPORTING ACCOUNTANTS' RESPONSIBILITIES (CONT'D)

The purpose of Pro Forma Consolidated Statements of Financial Position included in a prospectus is solely to illustrate the impact of a significant event or transaction on unadjusted financial information of the entity as if the event had occurred or the transaction had been undertaken at an earlier date selected for purposes of the illustration. Accordingly, we do not provide any assurance that the actual outcome of the event or transaction would have been as presented.

A reasonable assurance engagement to report on whether the Pro Forma Consolidated Statements of Financial Position has been compiled, in all material respects, on the basis of the applicable criteria involves performing procedures to assess whether the applicable criteria used by the Board of Directors in the compilation of the Pro Forma Consolidated Statements of Financial Position provide a reasonable basis for presenting the significant effects directly attributable to the events or transactions, and to obtain sufficient appropriate evidence about whether:

- The related pro forma adjustments give appropriate effect to those criteria; and
- The Pro Forma Consolidated Statements of Financial Position reflect the proper application of those adjustments to the unadjusted financial information.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Group, the events or transactions in respect of which the Pro Forma Consolidated Statements of Financial Position has been compiled, and other relevant engagement circumstances.

The engagement also involves evaluating the overall presentation of the Pro Forma Consolidated Statements of Financial Position.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

#### OPINION

In our opinion, Pro Forma Consolidated Statements of Financial Position of the Group have been compiled, in all material respects, on the basis as described in notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines.

---

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA  
COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)**

---



**OTHER MATTER**

This letter has been prepared solely for the purpose stated above, in connection with the Listing. As such, this letter should not be used for any other purpose without our prior written consent. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this letter contrary to the aforesaid purpose.

Yours faithfully

A stylized, handwritten-style signature of "Crowe" in black ink.

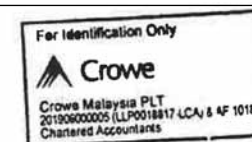
**Crowe Malaysia PLT**  
201906000005 (LLP0018817-LCA) & AF 1018  
Chartered Accountants

Kuala Lumpur

A handwritten signature in black ink, appearing to read "Gerald" followed by a flourish.

**Gerald Lau Beng Tong**  
03523/08/2026 J  
Chartered Accountant

# 13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)



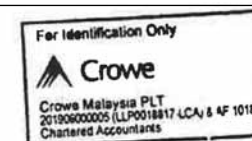
## APPENDIX A

### JRK HOLDINGS BERHAD

### PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025

|                               | <u>Audited</u>           | Adjustment<br>for<br>Subsequent<br>Event | <u>Pro Forma I</u><br>After<br>Adjustment for<br>Subsequent<br>Event | Public Issue | <u>Pro Forma II</u><br>After Pro<br>Forma I and<br>Public Issue | Utilisation<br>of Proceeds | <u>Pro Forma III</u><br>After Pro<br>Forma II and<br>Utilisation of<br>Proceeds |
|-------------------------------|--------------------------|------------------------------------------|----------------------------------------------------------------------|--------------|-----------------------------------------------------------------|----------------------------|---------------------------------------------------------------------------------|
| Note                          | As At<br>31.7.2025<br>RM | RM                                       | RM                                                                   | RM           | RM                                                              | RM                         | RM                                                                              |
| <b>ASSETS</b>                 |                          |                                          |                                                                      |              |                                                                 |                            |                                                                                 |
| <b>NON-CURRENT ASSETS</b>     |                          |                                          |                                                                      |              |                                                                 |                            |                                                                                 |
| Property, plant and equipment | 5,825,165                |                                          | 5,825,165                                                            |              | 5,825,165                                                       |                            | 5,825,165                                                                       |
| Investment properties         | 1,281,927                |                                          | 1,281,927                                                            |              | 1,281,927                                                       |                            | 1,281,927                                                                       |
| Right-of-use assets           | 203,795                  |                                          | 203,795                                                              |              | 203,795                                                         |                            | 203,795                                                                         |
| Inventories                   | 49,732,580               |                                          | 49,732,580                                                           |              | 49,732,580                                                      |                            | 49,732,580                                                                      |
|                               | <u>57,043,467</u>        |                                          | <u>57,043,467</u>                                                    |              | <u>57,043,467</u>                                               |                            | <u>57,043,467</u>                                                               |

# 13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)



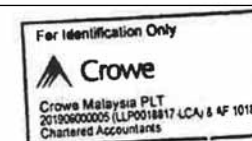
## APPENDIX A

### JRK HOLDINGS BERHAD

### PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025 (CONT'D)

|                                             |      | <u>Audited</u>     |            | <u>Pro Forma I</u> |              | <u>Pro Forma II</u> |             | <u>Pro Forma III</u> |
|---------------------------------------------|------|--------------------|------------|--------------------|--------------|---------------------|-------------|----------------------|
|                                             |      | As At              | Adjustment | After              |              | After Pro           | Utilisation | After Pro            |
|                                             |      | 31.7.2025          | for        | Adjustment for     |              | Forma I and         | of Proceeds | Forma II and         |
|                                             |      |                    | Subsequent | Subsequent         |              | Public Issue        | RM          | Utilisation of       |
|                                             | Note | RM                 | Event      | Event              | Public Issue | Public Issue        |             | Proceeds             |
|                                             |      |                    | RM         | RM                 | RM           | RM                  |             | RM                   |
| <b>CURRENT ASSETS</b>                       |      |                    |            |                    |              |                     |             |                      |
| Inventories                                 |      | 25,991,285         |            | 25,991,285         |              | 25,991,285          |             | 25,991,285           |
| Contract cost assets                        |      | 152,193            |            | 152,193            |              | 152,193             |             | 152,193              |
| Trade receivables                           |      | 10,953,886         |            | 10,953,886         |              | 10,953,886          |             | 10,953,886           |
| Other receivables, deposits and prepayments | 6.1  | 18,200,277         |            | 18,200,277         |              | 18,200,277          | [•]         | [•]                  |
| Contract assets                             |      | 491,068            |            | 491,068            |              | 491,068             |             | 491,068              |
| Current tax assets                          |      | 228,165            |            | 228,165            |              | 228,165             |             | 228,165              |
| Fixed deposits with licensed banks          |      | 2,364,167          |            | 2,364,167          |              | 2,364,167           |             | 2,364,167            |
| Cash and bank balances                      | 6.2  | 1,573,583          |            | 1,573,583          | [•]          | [•]                 | [•]         | [•]                  |
|                                             |      | 59,954,624         |            | 59,954,624         |              | [•]                 |             | [•]                  |
| <b>TOTAL ASSETS</b>                         |      | <b>116,998,091</b> |            | <b>116,998,091</b> |              | <b>[•]</b>          |             | <b>[•]</b>           |

# 13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)



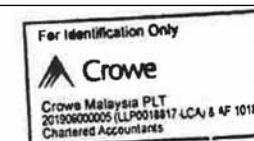
## APPENDIX A

### JRK HOLDINGS BERHAD

### PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025 (CONT'D)

|                                |      | <u>Audited</u>    |            | <u>Pro Forma I</u> |              | <u>Pro Forma II</u> |                | <u>Pro Forma III</u> |
|--------------------------------|------|-------------------|------------|--------------------|--------------|---------------------|----------------|----------------------|
|                                |      | As At             | Adjustment | After              |              | After Pro           | Utilisation of | After Pro            |
|                                | Note | 31.7.2025         | for        | Subsequent         | Public Issue | Forma I and         | Proceeds       | Forma II and         |
|                                |      | RM                | Subsequent | Event              | RM           | Public Issue        | RM             | Utilisation of       |
|                                |      |                   | Event      | RM                 |              | RM                  |                | Proceeds             |
|                                |      |                   | RM         |                    |              |                     |                | RM                   |
| <b>EQUITY AND LIABILITIES</b>  |      |                   |            |                    |              |                     |                |                      |
| <b>EQUITY</b>                  |      |                   |            |                    |              |                     |                |                      |
| Share capital                  | 6.3  | 27,099,862        |            | 27,099,862         | [•]          | [•]                 | [•]            | [•]                  |
| Retained profits               | 6.4  | 10,639,122        |            | 10,639,122         |              | 10,639,122          | [•]            | [•]                  |
| <b>TOTAL EQUITY</b>            |      | <u>37,738,984</u> |            | <u>37,738,984</u>  |              | <u>[•]</u>          |                | <u>[•]</u>           |
| <b>NON-CURRENT LIABILITIES</b> |      |                   |            |                    |              |                     |                |                      |
| Lease liabilities              |      | 43,029            |            | 43,029             |              | 43,029              |                | 43,029               |
| Long-term borrowings           |      | 41,338,839        |            | 41,338,839         |              | 41,338,839          |                | 41,338,839           |
|                                |      | <u>41,381,868</u> |            | <u>41,381,868</u>  |              | <u>41,381,868</u>   |                | <u>41,381,868</u>    |

# 13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)



## APPENDIX A

### JRK HOLDINGS BERHAD

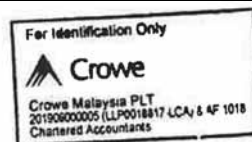
### PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025 (CONT'D)

|                                      |      | <u>Audited</u> |             | <u>Pro Forma I</u> |              | <u>Pro Forma II</u> |                | <u>Pro Forma III</u> |
|--------------------------------------|------|----------------|-------------|--------------------|--------------|---------------------|----------------|----------------------|
|                                      |      | As At          | Adjustment  | After              |              | After Pro           | Utilisation of | After Pro            |
|                                      | Note | 31.7.2025      | for         | Adjustment for     | Public Issue | Forma I and         | Proceeds       | Forma II and         |
|                                      |      | RM             | Subsequent  | Subsequent         | RM           | Public Issue        | RM             | Utilisation of       |
|                                      |      |                | Event       | Event              |              | RM                  |                | Proceeds             |
|                                      |      |                | RM          | RM                 |              |                     |                | RM                   |
| <b>CURRENT LIABILITIES</b>           |      |                |             |                    |              |                     |                |                      |
| Trade payables                       |      | 4,265,130      |             | 4,265,130          |              | 4,265,130           |                | 4,265,130            |
| Other payables and accruals          |      | 6,657,481      |             | 6,657,481          |              | 6,657,481           |                | 6,657,481            |
| Contract liabilities                 |      | 1,010,699      |             | 1,010,699          |              | 1,010,699           |                | 1,010,699            |
| Amount owing to related parties      |      | 14,258,992     |             | 14,258,992         |              | 14,258,992          |                | 14,258,992           |
| Amount owing to directors            |      | 3,145,311      |             | 3,145,311          |              | 3,145,311           |                | 3,145,311            |
| Lease liabilities                    |      | 168,048        |             | 168,048            |              | 168,048             |                | 168,048              |
| Short-term borrowings                |      | 3,647,374      |             | 3,647,374          |              | 3,647,374           |                | 3,647,374            |
| Bank overdrafts                      |      | 1,402,123      |             | 1,402,123          |              | 1,402,123           |                | 1,402,123            |
| Current tax liabilities              |      | 3,322,081      |             | 3,322,081          |              | 3,322,081           |                | 3,322,081            |
|                                      |      | 37,877,239     |             | 37,877,239         |              | 37,877,239          |                | 37,877,239           |
| <b>TOTAL LIABILITIES</b>             |      | 79,259,107     |             | 79,259,107         |              | 79,259,107          |                | 79,259,107           |
| <b>TOTAL EQUITY AND LIABILITIES</b>  |      | 116,998,091    |             | 116,998,091        |              | [•]                 |                | [•]                  |
| Number of ordinary shares            | 6.3  | 11,159,726     | 691,903,012 | 703,062,738        | [•]          | [•]                 |                | [•]                  |
| Net assets per ordinary share (RM) * |      | 3.38           |             | 0.05               |              | [•]                 |                | [•]                  |

Notes:-

\* Net assets per ordinary share is defined as total equity attributable to owners of the Company over the number of ordinary shares in issue.

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)**



**APPENDIX A**

**JRK HOLDINGS BERHAD**

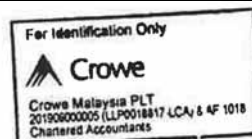
**NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025**

**1. ABBREVIATIONS**

Unless the context otherwise requires, the following words and abbreviations shall apply throughout this report:

|                                 |                                                                                                                                                                      |
|---------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| JRK Holdings or the Company     | : JRK Holdings Berhad<br>(Registration No: 201801045336 (1307368 - P))                                                                                               |
| JRK Holdings Group or the Group | : JRK Holdings and its subsidiaries, collectively                                                                                                                    |
| Bursa Securities                | : Bursa Malaysia Securities Berhad (Registration No. 200301033577 (635998 - W))                                                                                      |
| Eligible Persons                | : Collectively, the Directors, employees and persons who have contributed to the success of the Group who are eligible to participate in the Retail Offering         |
| Public Issue                    | : Public issue of 260,000,000 new Shares at the IPO Price                                                                                                            |
| IPO                             | : Initial public offering of the Shares in conjunction with the Listing, comprising the Public Issue                                                                 |
| IPO Price                       | : RM[●] for each IPO Share                                                                                                                                           |
| IPO Share(s)                    | : The Issue Share(s) and Offer Share(s), collectively                                                                                                                |
| Issue Share(s)                  | : New Shares to be issued by the Company pursuant to the Public Issue                                                                                                |
| Listing                         | : Admission to the Official List and the listing of and quotation for the entire enlarged issued share capital of JRK Holdings on the ACE Market of Bursa Securities |
| LPD                             | : 12 December 2025, being the latest practicable date of the Prospectus                                                                                              |
| Malaysian Public                | : Malaysian citizens, companies, co-operatives, societies and institutions incorporated or organised under the laws of Malaysia                                      |
| MITI                            | : Ministry of Investment, Trade and Industry                                                                                                                         |
| Offer Share(s)                  | : The existing Share(s) to be offered by the Offerors pursuant to the Offer for Sale                                                                                 |
| Prospectus                      | : Prospectus to be issued by the Company                                                                                                                             |
| RM and sen                      | : Ringgit Malaysia and sen, the lawful currency of Malaysia                                                                                                          |

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)**



**APPENDIX A**

**JRK HOLDINGS BERHAD**

**NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025 (CONT'D)**

**2. INTRODUCTION**

The Pro Forma Consolidated Statements of Financial Position of the Group as at 31 July 2025 ("the Pro Forma Consolidated Statements of Financial Position") together with the notes thereon, for which the Board of Directors of the Company are solely responsible, have been prepared for illustrative purposes only for the purpose of inclusion in the Prospectus to be issued by the Company in connection with the IPO of 260,000,000 ordinary shares in conjunction with the listing and quotation of the entire enlarged issued share capital of the Company on the ACE Market of Bursa Securities and should not be relied upon for any other purposes.

**3. BASIS OF PREPARATION**

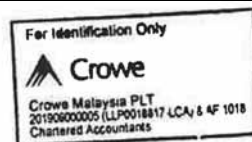
The Pro Forma Consolidated Statements of Financial Position are prepared based on the audited consolidated statements of financial position of the Group as at 31 July 2025, which are prepared in accordance with Malaysian Financial Reporting Standards ("MFRSs") and IFRS Accounting Standards, and in a manner consistent with the format of the financial statements and accounting policies of the Group.

The Pro Forma Consolidated Statements of Financial Position together with the related notes thereon, are prepared solely to illustrate the impact of the events and transactions set out in Note 4 to the Pro Forma Consolidated Statements of Financial Position as at 31 July 2025 had the events occurred or transactions been undertaken as at 31 July 2025.

The Pro Forma Consolidated Statements of Financial Position are not necessary indicative of the financial position that would have been attained had the Listing actually occurred at the respective dates.

The financial statements used in the preparation of the Pro Forma Consolidated Statements of Financial Position as at 31 July 2025 are not subject to any qualification, modification or disclaimer of opinion.

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)**



**APPENDIX A**

**JRK HOLDINGS BERHAD**

**NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025 (CONT'D)**

**4. LISTING SCHEME**

The following proposals were undertaken in conjunction with, and as an integral part of the Listing:-

**4.1 Adjustment for Subsequent Event**

Subdivision of Shares

On 1 September 2025, the Company had subdivided every ordinary share of its existing 11,159,726 shares into sixty-three (63) subdivided shares. Following the completion of the subdivision, the total issued share capital will be 703,062,738 shares.

**4.2 Public Issue**

A total of 260,000,000 Issue Shares, representing approximately 27.00% of the Company's enlarged issued share capital are offered at the IPO price. The Issue Shares shall be allocated in the following manner:-

**(i) Malaysian Public**

48,160,000 Issue Shares, representing approximately 5.00% of the Company's enlarged issued share capital, are made available for application by the Malaysian Public by way of balloting, of which 50% will be set aside for Bumiputera individuals, companies, societies, cooperatives and institutions.

**(ii) Eligible Persons**

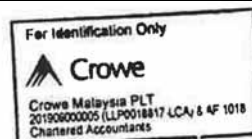
9,630,000 Issue Shares, representing approximately 1.00% of the Company's enlarged issued share capital, are reserved for the Company's Eligible Persons.

**(iii) Private placement to selected investors**

81,820,000 Issue Shares, representing approximately 8.50% of Company's enlarged issued share capital, are reserved for private placement to selected investors.

**(iv) Private placement to Bumiputera investors approved by MITI**

120,390,000 Issue Shares, representing approximately 12.50% of the Company's enlarged issued share capital, are reserved for private placement to Bumiputera investors approved by MITI.

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)****APPENDIX A****JRK HOLDINGS BERHAD****NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025 (CONT'D)****4. LISTING SCHEME (CONT'D)**

The following proposals were undertaken in conjunction with, and as an integral part of the Listing (Cont'd):-

**4.3 Listing**

Upon completion of the IPO, the Company's entire enlarged issued share capital of approximately RM[●] comprising 963,062,738 Shares shall be listed on the ACE Market of Bursa Malaysia Securities Berhad

**4.4 Proposed Utilisation of Proceeds**

The estimated gross proceeds from the Public Issue of RM[●] will accrue entirely to the Group and are planned to be utilised in the following manner:-

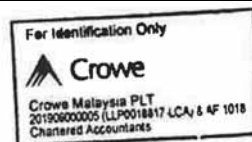
| <b>Utilisation of proceeds</b>                          | <b>RM</b>  | <b>%</b>   | <b>Estimated timeframe for utilisation from the date of Listing</b> |
|---------------------------------------------------------|------------|------------|---------------------------------------------------------------------|
| Working capital for development purposes <sup>(1)</sup> | [●]        | [●]        | Within 24 months                                                    |
| Acquisition and/or joint development <sup>(2)</sup>     | [●]        | [●]        | Within 24 months                                                    |
| Estimated listing expenses <sup>(3)</sup>               | [●]        | [●]        | Within 1 month                                                      |
| <b>Total</b>                                            | <b>[●]</b> | <b>[●]</b> |                                                                     |

Notes:-

<sup>(1)</sup> The Group intends to utilise the proceeds raised of approximately RM[●] million to supplement the Group's working capital for its on-going and planned development projects over 24 months from the date of the Group's Proposed Listing. The Group's working capital requirements include, amongst others, the payment of main building works, piling works, marketing costs, professional fees to consultants and payments to authorities. The details of the utilisation for the Group's existing and future projects are as follows:-

| <b>No.</b>   | <b>Name of development</b> | <b>Expected launch date</b> | <b>Estimated allocation of proceeds (RM'000)</b> |
|--------------|----------------------------|-----------------------------|--------------------------------------------------|
| 1            | JRK Celestia               | November 2025               | [●]                                              |
| 2            | JRK Areca                  | 2Q 2026                     | [●]                                              |
| 3            | JRK PARC                   | 2Q 2026                     | [●]                                              |
| 4            | JRK Delta Residence        | 3Q 2026                     | [●]                                              |
| 5            | JRK Equine                 | 3Q 2026                     | [●]                                              |
| <b>Total</b> |                            |                             | <b>[●]</b>                                       |

As at LPD, the Group did not enter into any contractual binding arrangements in relation to the above purposes. Accordingly, the use of proceeds earmarked for these purposes are not reflected in the Pro Forma Consolidated Statements of Financial Position.

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)****APPENDIX A****JRK HOLDINGS BERHAD****NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025 (CONT'D)****4. LISTING SCHEME (CONT'D)**

The following proposals were undertaken in conjunction with, and as an integral part of the Listing (Cont'd):-

**4.4 Proposed Utilisation of Proceeds (Cont'd)**

The estimated gross proceeds from the Public Issue of RM[●] will accrue entirely to the Group and are planned to be utilised in the following manner (Cont'd):-

*Notes (Cont'd):-*

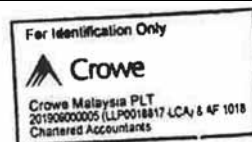
- (2) *The Group intends to allocate approximately RM[●] million to fund future acquisitions and/or joint development arrangements in Kuala Lumpur and Selangor, as well as other states in Malaysia if the opportunities are available. This will be achieved either through direct purchase of landbanks, joint development arrangements with landowners, or acquisitions of companies with existing landbanks or development projects, where these landbanks may have obtained the necessary planning and development consents.*

*Based on the LPD, there are no supportable sale and purchase agreements or contractual binding agreements in relation to the utilisation of proceeds for acquisition of new landbank. Hence, such utilisation of proceeds will not be illustrated in this Pro Forma.*

- (3) *Our Group intends to use the proceeds raised of approximately RM[●] million for professional fees, brokerage, underwriting and placement fees; regulatory fees and other fees and expenses, the details of which are as follows:*

| <b>No</b>    | <b>Nature of expenses</b>                  | <b>Estimated costs (RM'000)</b> |
|--------------|--------------------------------------------|---------------------------------|
| 1            | Professional fees                          | [●]                             |
| 2            | Brokerage, underwriting and placement fees | [●]                             |
| 3            | Regulatory fees                            | [●]                             |
| 4            | Other fees and expenses                    | [●]                             |
| <b>Total</b> |                                            | <b>[●]</b>                      |

*From the total estimated listing expenses of RM[●] million, a total of approximately RM[●] million is assumed to be directly attributable to the issuance of new shares and therefore will be set off against the share capital. The remaining expenses of approximately RM[●] million are assumed to be attributable to the listing and therefore will be charged to the statements of profit or loss and other comprehensive income. As of 31 July 2025, RM[●] has been debited into other receivables, deposits and prepayments.*

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)****APPENDIX A****JRK HOLDINGS BERHAD****NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025 (CONT'D)****5. PRO FORMA ADJUSTMENTS TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION****5.1 Pro Forma I**

Pro Forma I incorporates the effects of the subsequent event as set out in Note 4.1 to the Pro Forma Consolidated Statements of Financial Position.

**5.2 Pro Forma II**

Pro Forma II incorporates the effects of Pro Forma I and the proceeds from the Public Issue as set out in Note 4.2 to the Pro Forma Consolidated Statements of Financial Position.

**5.3 Pro Forma III**

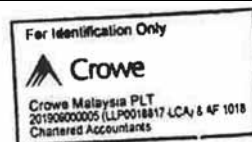
Pro Forma III incorporates the effects of Pro Forma I, II and Utilisation of Proceeds from Public Issue as set out in Note 4.4 to the Pro Forma Consolidated Statements of Financial Position.

**6. EFFECTS ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION****6.1 Other receivables, deposits and prepayments**

|                                        | Note | RM         |
|----------------------------------------|------|------------|
| As at 31 July 2025, Pro Forma I and II |      | 18,200,277 |
| Less: Estimated listing expenses       | 4.4  | [•]        |
| As per Pro Forma III                   |      | [•]        |

**6.2 Cash and bank balances**

|                                       | Note | RM        |
|---------------------------------------|------|-----------|
| As at 31 July 2025/As per Pro Forma I |      | 1,573,583 |
| Add: Proceeds from Public Issue       | 4.2  | [•]       |
| As per Pro Forma II                   |      | [•]       |
| Less: Estimated listing expenses      | 4.4  | [•]       |
| As per Pro Forma III                  |      | [•]       |

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)****APPENDIX A****JRK HOLDINGS BERHAD****NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 JULY 2025 (CONT'D)****6. EFFECTS ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)****6.3 Share capital**

|                                  | Note | Number of Ordinary Shares | Amount of Share Capital RM |
|----------------------------------|------|---------------------------|----------------------------|
| As at 31 July 2025               |      | 11,159,726                | 27,099,862                 |
| Add: Subdivision of shares       | 4.1  | 691,903,012               | -                          |
| As per Pro Forma I               |      | 703,062,738               | 27,099,862                 |
| Add: Public Issue                | 4.2  | [•]                       | [•]                        |
| As per Pro Forma II              |      | [•]                       | [•]                        |
| Less: Estimated listing expenses | 4.4  | [•]                       | [•]                        |
| As per Pro Forma III             |      | [•]                       | [•]                        |

**6.3 Retained profits**

|                                        | Note | RM         |
|----------------------------------------|------|------------|
| As at 31 July 2025, Pro Forma I and II |      | 10,639,122 |
| Less: Estimated listing expenses       | 4.4  | [•]        |
| As per Pro Forma III                   |      | [•]        |

**13. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA  
COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)**

**APPENDIX A**

**JRK HOLDINGS BERHAD**

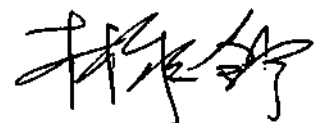
**APPROVAL BY THE BOARD OF DIRECTORS**

Approved and adopted by the Board of Directors of JRK Holdings Berhad in accordance with a resolution dated **19 DEC 2025**

On behalf of the Board of Directors,



Dato Sri Kwan Aik Khai



Lim Boon Kiong

## 14. ACCOUNTANTS' REPORT



**Crowe Malaysia PLT**  
 201906000005 (LLP0018817-LCA) & AF 1018  
 Chartered Accountants  
 Level 16, Tower C, Megan Avenue II  
 12, Jalan Yap Kwan Seng  
 50450 Kuala Lumpur  
 Malaysia  
 Main +6 03 2788 9999  
 www.crowe.my

**The Board of Directors**  
**JRK Holdings Berhad**  
 122, Jalan Dataran Cheras 8,  
 Cheras Traders Square,  
 43200 Cheras, Selangor Malaysia.

**Dear Sirs and Madams,**

### **REPORTING ACCOUNTANTS' OPINION ON THE CONSOLIDATED FINANCIAL INFORMATION CONTAINED IN THE ACCOUNTANTS' REPORT OF JRK HOLDINGS BERHAD ("THE COMPANY" OR "JRK HOLDINGS")**

#### **OPINION**

We have audited the consolidated financial information of JRK Holdings and its subsidiaries (collectively referred to as "the Group") which comprise the consolidated statements of financial position as at 31 December 2022, 31 December 2023, 31 December 2024 and 31 July 2025, and the consolidated statements of profit or loss and other comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the financial years ended ("FYE") 31 December 2022, 31 December 2023, 31 December 2024 and for the 7-month financial period ("FPE") 31 July 2025, and notes to the consolidated financial statements, including material accounting policy information as set out on pages 4 to 92.

The historical financial information has been prepared for inclusion in the prospectus of JRK Holdings in connection with the listing of and quotation for the enlarged issued share capital of JRK Holdings on the ACE Market of Bursa Malaysia Securities Berhad ("the Prospectus"). This report is required by the Prospectus Guidelines issued by the Securities Commission Malaysia ("Prospectus Guidelines") and is given for the purpose of complying with the Guidelines and for no other purpose.

In our opinion, the consolidated financial information gives a true and fair view of the financial position of the Group as at 31 December 2022, 31 December 2023, 31 December 2024 and 31 July 2025, and of its financial performance and cash flows for each of the FYE 31 December 2022, 31 December 2023, 31 December 2024 and FPE 31 July 2025, in accordance with Malaysian Financial Reporting Standards ("MFRS") and the IFRS Accounting Standards.

#### **BASIS FOR OPINION**

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Reporting Accountants' Responsibilities for the Audit of the consolidated financial information* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

**14. ACCOUNTANTS' REPORT (CONT'D)****BASIS FOR OPINION (CONT'D)***Independence and Other Ethical Responsibilities*

We are independent of the Group in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

**DIRECTORS' RESPONSIBILITIES FOR THE CONSOLIDATED FINANCIAL INFORMATION**

The Directors of the Company (the "Directors") are responsible for the preparation of the consolidated financial information of the Group that give a true and fair view in accordance with MFRS and IFRS Accounting Standards. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of the consolidated financial information that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial information of the Group, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

**REPORTING ACCOUNTANTS' RESPONSIBILITIES FOR THE AUDIT OF FINANCIAL INFORMATION**

Our objectives are to obtain reasonable assurance about whether the consolidated financial information of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue a report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial information.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial information of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

#### 14. ACCOUNTANTS' REPORT (CONT'D)



#### REPORTING ACCOUNTANTS' RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL INFORMATION (CONT'D)

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also (Cont'd):

- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our report to the related disclosures in the financial information of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial information of the Group, including the disclosures, and whether the consolidated financial information of the Group represents the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

#### RESTRICTION ON DISTRIBUTION AND USE

This report is made solely to the Group for inclusion in the prospectus of JRK Holdings in connection with the listing of and quotation for the entire enlarged issued share capital of JRK Holdings on the ACE Market of Bursa Malaysia Securities Berhad. As such, this report should not be used for any other purpose without our prior written consent. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this report contrary to the aforesaid purpose.

*Crowe*

**Crowe Malaysia PLT**  
201906000005 (LLP0018817-LCA) & AF 1018  
Chartered Accountants

Kuala Lumpur

**19 DEC 2025**

*Gerald Lau Beng Tong*

**Gerald Lau Beng Tong**  
03523/08/2026 J  
Chartered Accountant

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**

|                                             |      | <----- Audited ----->           |                    |                    |                    |
|---------------------------------------------|------|---------------------------------|--------------------|--------------------|--------------------|
|                                             |      | <----- As at 31 December -----> |                    |                    | As at 31           |
|                                             | Note | 2022                            | 2023               | 2024               | July 2025          |
|                                             |      | RM                              | RM                 | RM                 | RM                 |
| <b>ASSETS</b>                               |      |                                 |                    |                    |                    |
| <b>NON-CURRENT ASSETS</b>                   |      |                                 |                    |                    |                    |
| Property, plant and equipment               | 4    | 267,251                         | 2,160,315          | 2,912,285          | 5,825,165          |
| Investment properties                       | 5    | -                               | -                  | 1,288,586          | 1,281,927          |
| Right-of-use assets                         | 6    | 1,006,800                       | 704,000            | 306,119            | 203,795            |
| Inventories                                 | 7    | 13,356,941                      | 31,130,005         | 45,521,118         | 49,732,580         |
| Goodwill                                    | 8    | -                               | -                  | -                  | -                  |
|                                             |      | <u>14,630,992</u>               | <u>33,994,320</u>  | <u>50,028,108</u>  | <u>57,043,467</u>  |
| <b>CURRENT ASSETS</b>                       |      |                                 |                    |                    |                    |
| Inventories                                 | 7    | 18,681,158                      | 11,661,926         | 5,935,459          | 25,991,285         |
| Contract cost assets                        | 9    | 28,646,208                      | 22,802,348         | 8,077,980          | 152,193            |
| Trade receivables                           | 10   | 5,130,376                       | 7,557,625          | 3,922,986          | 10,953,886         |
| Other receivables, deposits and prepayments | 11   | 1,448,066                       | 21,847,937         | 31,014,239         | 18,200,277         |
| Contract assets                             | 12   | 24,370,911                      | 10,552,479         | 20,957,536         | 491,068            |
| Current tax assets                          |      | 6,543                           | -                  | 216,654            | 228,165            |
| Fixed deposits with licensed banks          | 13   | 1,034,768                       | 3,881,753          | 3,408,230          | 2,364,167          |
| Cash and bank balances                      | 14   | 2,391,161                       | 12,595,847         | 4,311,166          | 1,573,583          |
|                                             |      | <u>81,709,191</u>               | <u>90,899,915</u>  | <u>77,844,250</u>  | <u>59,954,624</u>  |
| <b>TOTAL ASSETS</b>                         |      | <u>96,340,183</u>               | <u>124,894,235</u> | <u>127,872,358</u> | <u>116,998,091</u> |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)**

|                                              |      | <----- Audited ----->           |                    |                    |                    |
|----------------------------------------------|------|---------------------------------|--------------------|--------------------|--------------------|
|                                              |      | <----- As at 31 December -----> |                    |                    | As at 31           |
|                                              | Note | 2022                            | 2023               | 2024               | July 2025          |
|                                              |      | RM                              | RM                 | RM                 | RM                 |
| <b>EQUITY AND LIABILITIES</b>                |      |                                 |                    |                    |                    |
| <b>EQUITY</b>                                |      |                                 |                    |                    |                    |
| Share capital                                | 15   | 27,099,862                      | 27,099,862         | 27,099,862         | 27,099,862         |
| Retained profits                             |      | 1,072,202                       | 8,417,316          | 19,355,323         | 10,639,122         |
| Equity attributable to owners of the Company |      | 28,172,064                      | 35,517,178         | 46,455,185         | 37,738,984         |
| Non-controlling interests                    |      | 883,685                         | 1,426,184          | 2,350,987          | -                  |
| <b>TOTAL EQUITY</b>                          |      | <b>29,055,749</b>               | <b>36,943,362</b>  | <b>48,806,172</b>  | <b>37,738,984</b>  |
| <b>NON-CURRENT LIABILITIES</b>               |      |                                 |                    |                    |                    |
| Lease liabilities                            | 16   | 560,693                         | 121,754            | 182,888            | 43,029             |
| Long-term borrowings                         | 17   | 5,467,297                       | 12,475,696         | 24,782,502         | 41,338,839         |
|                                              |      | 6,027,990                       | 12,597,450         | 24,965,390         | 41,381,868         |
| <b>CURRENT LIABILITIES</b>                   |      |                                 |                    |                    |                    |
| Trade payables                               | 20   | 7,011,250                       | 3,153,776          | 3,959,806          | 4,265,130          |
| Other payables and accruals                  | 21   | 19,386,266                      | 9,792,726          | 9,172,432          | 6,657,481          |
| Contract liabilities                         | 12   | 9,469,015                       | 40,420,810         | 22,770,510         | 1,010,699          |
| Amount owing to related parties              | 22   | 13,171,967                      | 9,202,228          | 11,158,169         | 14,258,992         |
| Amount owing to directors                    | 23   | 5,603,247                       | 5,775,939          | 850,115            | 3,145,311          |
| Lease liabilities                            | 16   | 465,140                         | 610,471            | 138,911            | 168,048            |
| Short-term borrowings                        | 24   | 3,414,196                       | 1,328,193          | 1,994,449          | 3,647,374          |
| Bank overdrafts                              | 26   | -                               | -                  | -                  | 1,402,123          |
| Current tax liabilities                      |      | 2,735,363                       | 5,069,280          | 4,056,404          | 3,322,081          |
|                                              |      | 61,256,444                      | 75,353,423         | 54,100,796         | 37,877,239         |
| <b>TOTAL LIABILITIES</b>                     |      | <b>67,284,434</b>               | <b>87,950,873</b>  | <b>79,066,186</b>  | <b>79,259,107</b>  |
| <b>TOTAL EQUITY AND LIABILITIES</b>          |      | <b>96,340,183</b>               | <b>124,894,235</b> | <b>127,872,358</b> | <b>116,998,091</b> |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

### CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

|                                                                                   |      | <----- Audited -----><br><-- Financial Year Ended ("FYE") 31 December --> |              |              | Unaudited    | Audited      |
|-----------------------------------------------------------------------------------|------|---------------------------------------------------------------------------|--------------|--------------|--------------|--------------|
|                                                                                   | Note | 2022                                                                      | 2023         | 2024         | 1.1.2024 to  | 1.1.2025 to  |
|                                                                                   |      | RM                                                                        | RM           | RM           | 31.7.2024    | 31.7.2025    |
|                                                                                   |      |                                                                           |              |              | RM           | RM           |
| REVENUE                                                                           | 27   | 52,931,108                                                                | 65,092,484   | 117,648,930  | 83,479,155   | 49,593,481   |
| COST OF SALES                                                                     |      | (34,291,582)                                                              | (38,213,897) | (80,645,701) | (60,132,445) | (28,970,540) |
| GROSS PROFIT                                                                      |      | 18,639,526                                                                | 26,878,587   | 37,003,229   | 23,346,710   | 20,622,941   |
| OTHER INCOME                                                                      |      | 69,143                                                                    | 129,257      | 818,249      | 352,366      | 417,841      |
|                                                                                   |      | 18,708,669                                                                | 27,007,844   | 37,821,478   | 23,699,076   | 21,040,782   |
| ADMINISTRATIVE EXPENSES                                                           |      | (4,751,086)                                                               | (7,512,980)  | (8,222,406)  | (3,834,720)  | (6,599,257)  |
| SELLING AND DISTRIBUTION EXPENSES                                                 |      | (2,400,444)                                                               | (2,557,608)  | (5,372,269)  | (3,423,841)  | (1,811,608)  |
| OTHER EXPENSES                                                                    |      | (668,795)                                                                 | (1,343,587)  | (1,401,237)  | (892,070)    | (585,236)    |
| FINANCE COSTS                                                                     |      | (1,938,823)                                                               | (4,117,792)  | (1,878,863)  | (1,145,849)  | (1,285,824)  |
| NET (IMPAIRMENT LOSSES)/REVERSAL OF<br>IMPAIRMENT LOSSES ON FINANCIAL ASSETS      |      | -                                                                         | -            | (570,492)    | -            | 130,192      |
| PROFIT BEFORE TAXATION                                                            | 28   | 8,949,521                                                                 | 11,475,877   | 20,376,211   | 14,402,596   | 10,889,049   |
| INCOME TAX EXPENSE                                                                | 29   | (2,437,000)                                                               | (3,588,264)  | (6,513,401)  | (4,123,480)  | (3,656,446)  |
| PROFIT AFTER TAXATION/TOTAL COMPREHENSIVE<br>INCOME FOR THE FINANCIAL YEAR/PERIOD |      | 6,512,521                                                                 | 7,887,613    | 13,862,810   | 10,279,116   | 7,232,603    |

The annexed notes form an integral part of these financial statements.

Page 6

**14. ACCOUNTANTS' REPORT (CONT'D)**
**JRK HOLDINGS BERHAD**
**CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME (CONT'D)**

|                                                                           |      | <----- Audited -----><br><----- FYE 31 December -----> |                  |                   | Unaudited                      | Audited                        |
|---------------------------------------------------------------------------|------|--------------------------------------------------------|------------------|-------------------|--------------------------------|--------------------------------|
|                                                                           | Note | 2022<br>RM                                             | 2023<br>RM       | 2024<br>RM        | 1.1.2024 to<br>31.7.2024<br>RM | 1.1.2025 to<br>31.7.2025<br>RM |
| <b>PROFIT AFTER TAXATION/TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:-</b> |      |                                                        |                  |                   |                                |                                |
| Owners of the Company                                                     |      | 5,593,471                                              | 6,511,013        | 10,921,590        | 7,539,362                      | 7,102,817                      |
| Non-controlling interests                                                 |      | 919,050                                                | 1,376,600        | 2,941,220         | 2,739,754                      | 129,786                        |
|                                                                           |      | <u>6,512,521</u>                                       | <u>7,887,613</u> | <u>13,862,810</u> | <u>10,279,116</u>              | <u>7,232,603</u>               |
| <b>EARNINGS PER SHARE (RM)</b>                                            |      |                                                        |                  |                   |                                |                                |
| - Basic                                                                   | 30   | 0.50                                                   | 0.58             | 0.98              | 0.68                           | 0.64                           |
| - Diluted                                                                 | 30   | 0.50                                                   | 0.58             | 0.98              | 0.68                           | 0.64                           |
|                                                                           |      | <u>0.50</u>                                            | <u>0.58</u>      | <u>0.98</u>       | <u>0.68</u>                    | <u>0.64</u>                    |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

### CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

| <b>Audited</b>                                                            | Note | Share Capital<br>RM | (Accumulated<br>Loss)/<br>Retained<br>Profits<br>RM | Non-<br>Controlling<br>Interests<br>RM | Total<br>Equity<br>RM |
|---------------------------------------------------------------------------|------|---------------------|-----------------------------------------------------|----------------------------------------|-----------------------|
| Balance at 1.1.2022                                                       |      | 27,099,862          | (4,521,269)                                         | (35,365)                               | 22,543,228            |
| Profit after taxation/Total comprehensive income for the financial year   |      | -                   | 5,593,471                                           | 919,050                                | 6,512,521             |
| Balance at 31.12.2022/1.1.2023                                            |      | 27,099,862          | 1,072,202                                           | 883,685                                | 29,055,749            |
| Profit after taxation/Total comprehensive income for the financial year   |      | -                   | 6,511,013                                           | 1,376,600                              | 7,887,613             |
| Acquisition of non-controlling interest                                   | 31.2 | -                   | 834,101                                             | (834,101)                              | -                     |
| Balance at 31.12.2023/1.1.2024                                            |      | 27,099,862          | 8,417,316                                           | 1,426,184                              | 36,943,362            |
| Profit after taxation/Total comprehensive income for the financial year   |      | -                   | 10,921,590                                          | 2,941,220                              | 13,862,810            |
| Acquisition of non-controlling interest                                   | 31.2 | -                   | 16,417                                              | (2,016,417)                            | (2,000,000)           |
| Balance at 31.12.2024/1.1.2025                                            |      | 27,099,862          | 19,355,323                                          | 2,350,987                              | 48,806,172            |
| Profit after taxation/Total comprehensive income for the financial period |      | -                   | 7,102,817                                           | 129,786                                | 7,232,603             |
| Distribution to owners of the Company:<br>- Dividends                     | 32   | -                   | (14,999,788)                                        | -                                      | (14,999,788)          |
| Acquisition of non-controlling interest                                   | 31.2 | -                   | (819,230)                                           | (2,480,773)                            | (3,300,003)           |
| Balance at 31.7.2025                                                      |      | 27,099,862          | 10,639,122                                          | -                                      | 37,738,984            |

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)**

| <b>Unaudited</b>                                                          | <b>Note</b> | <b>Share Capital<br/>RM</b> | <b>(Accumulated<br/>Loss)/<br/>Retained<br/>Profits<br/>RM</b> | <b>Non-<br/>Controlling<br/>Interests<br/>RM</b> | <b>Total<br/>Equity<br/>RM</b> |
|---------------------------------------------------------------------------|-------------|-----------------------------|----------------------------------------------------------------|--------------------------------------------------|--------------------------------|
| Balance at 31.12.2023/1.1.2024                                            |             | 27,099,862                  | 8,417,316                                                      | 1,426,184                                        | 36,943,362                     |
| Profit after taxation/Total comprehensive income for the financial period |             | -                           | 7,539,362                                                      | 2,739,754                                        | 10,279,116                     |
| Acquisition of non-controlling interest                                   | 31.2        | -                           | 16,417                                                         | (2,016,417)                                      | (2,000,000)                    |
| Balance at 31.7.2024                                                      |             | 27,099,862                  | 15,973,095                                                     | 2,149,521                                        | 45,222,478                     |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

### CONSOLIDATED STATEMENTS OF CASH FLOWS

|                                                                    | Note | <div> <div>----- Audited -----</div> <div>----- FYE 31 December -----</div> </div> |              |              | Unaudited   | Audited      |
|--------------------------------------------------------------------|------|------------------------------------------------------------------------------------|--------------|--------------|-------------|--------------|
|                                                                    |      | 2022                                                                               | 2023         | 2024         | 1.1.2024 to | 1.1.2025 to  |
|                                                                    |      | RM                                                                                 | RM           | RM           | 31.7.2024   | 31.7.2025    |
|                                                                    |      |                                                                                    |              |              | RM          | RM           |
| CASH FLOWS FROM OPERATING ACTIVITIES                               |      |                                                                                    |              |              |             |              |
| Profit before taxation                                             |      | 8,949,521                                                                          | 11,475,877   | 20,376,211   | 14,402,596  | 10,889,049   |
| Adjustments for:-                                                  |      |                                                                                    |              |              |             |              |
| Bargain purchase on acquisition of a subsidiary                    | 31.1 | -                                                                                  | -            | (144,983)    | (144,983)   | -            |
| Depreciation:                                                      |      |                                                                                    |              |              |             |              |
| - property, plant and equipment                                    |      | 28,965                                                                             | 494,964      | 541,412      | 306,278     | 345,217      |
| - investment properties                                            |      | -                                                                                  | -            | 11,414       | 7,552       | 6,659        |
| - right-of-use assets                                              |      | 451,642                                                                            | 568,859      | 648,411      | 378,240     | 196,715      |
| Deposit written off                                                |      | -                                                                                  | -            | 200,000      | 200,000     | -            |
| Impairment loss on goodwill                                        |      | 181,812                                                                            | -            | -            | -           | -            |
| Impairment loss/(Reversal of impairment loss) on trade receivables |      | -                                                                                  | -            | 570,492      | -           | (130,192)    |
| Deposits received forfeited                                        |      | -                                                                                  | (500)        | (9,800)      | (9,800)     | -            |
| Interest income                                                    |      | (18,535)                                                                           | (107,254)    | (251,444)    | (188,563)   | (139,920)    |
| Interest expense                                                   |      | 1,938,823                                                                          | 4,117,792    | 1,878,863    | 1,145,849   | 1,285,824    |
| Operating profit before working capital changes                    |      | 11,532,228                                                                         | 16,549,738   | 23,820,576   | 16,097,169  | 12,453,352   |
| Decrease/(Increase) in inventories                                 |      | 10,779,972                                                                         | 3,878,968    | 3,368,791    | 1,452,277   | (4,117,288)  |
| (Increase)/Decrease in contract cost assets                        |      | (7,483,466)                                                                        | 5,843,860    | 14,724,368   | 10,614,021  | 7,925,787    |
| Decrease/(Increase) in contract assets                             |      | 809,996                                                                            | 13,818,432   | (10,405,057) | (8,032,571) | 20,466,468   |
| (Increase)/Decrease in trade and other receivables                 |      | (3,255,771)                                                                        | (22,826,620) | 9,014,711    | 3,583,317   | 3,763,254    |
| Decrease in trade and other payables                               |      | (6,765,622)                                                                        | (13,604,414) | (1,204,818)  | (4,104,315) | (2,299,110)  |
| Increase/(Decrease) in contract liabilities                        |      | 9,469,015                                                                          | 30,951,795   | (17,650,300) | (4,405,419) | (21,759,811) |
| Increase/(Decrease) in amount owing to related parties             |      | 620,276                                                                            | (8,596,091)  | 5,269,812    | 6,303,292   | 4,421,764    |
| CASH FROM OPERATIONS                                               |      | 15,706,628                                                                         | 26,015,668   | 26,938,083   | 21,507,771  | 20,854,416   |



# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

### CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)

|                                                              |       | <div> <div> &lt;----- Audited -----&gt; </div> <div> &lt;----- FYE 31 December -----&gt; </div> </div> |             |              | <div> Unaudited </div>         | <div> Audited </div>           |
|--------------------------------------------------------------|-------|--------------------------------------------------------------------------------------------------------|-------------|--------------|--------------------------------|--------------------------------|
|                                                              | Note  | 2022<br>RM                                                                                             | 2023<br>RM  | 2024<br>RM   | 1.1.2024 to<br>31.7.2024<br>RM | 1.1.2024 to<br>31.7.2025<br>RM |
| CASH FLOWS (USED IN)/FROM FINANCING ACTIVITIES               |       |                                                                                                        |             |              |                                |                                |
| Advances from related parties                                | 33(b) | -                                                                                                      | 6,204,805   | -            | -                              | -                              |
| Advances from a director                                     | 33(b) | 4,925,000                                                                                              | 9,654,870   | 146,235      | 118,831                        | 5,680,000                      |
| Dividend paid                                                | 32    | -                                                                                                      | -           | -            | -                              | (14,999,788)                   |
| Drawdown of term loans                                       | 33(b) | -                                                                                                      | 11,270,000  | 12,684,330   | -                              | 18,600,000                     |
| Drawdown of promissory notes                                 | 33(b) | -                                                                                                      | 3,501,101   | 3,527,213    | 1,721,937                      | 2,158,503                      |
| Interest paid                                                | 33(b) | (997,146)                                                                                              | (978,738)   | (1,335,917)  | (537,956)                      | (1,252,726)                    |
| Repayment to directors                                       | 33(b) | (2,306,295)                                                                                            | (9,482,178) | (5,746,668)  | (3,669,043)                    | (3,384,804)                    |
| Repayment to related parties                                 | 33(b) | -                                                                                                      | (2,374,227) | (3,485,214)  | (356,243)                      | (1,139,754)                    |
| Repayment of term loans                                      | 33(b) | (15,060,594)                                                                                           | (8,979,878) | (289,193)    | (113,178)                      | (388,660)                      |
| Repayment of hire purchase obligations                       | 33(b) | -                                                                                                      | (313,104)   | (286,265)    | (158,299)                      | (199,944)                      |
| Repayment of promissory notes                                | 33(b) | -                                                                                                      | (2,637,847) | (3,462,756)  | (1,264,667)                    | (2,260,787)                    |
| Repayment of lease liabilities                               | 33(b) | (510,312)                                                                                              | (559,667)   | (660,956)    | (376,219)                      | (205,113)                      |
| NET CASH (USED IN)/FROM FINANCING ACTIVITIES                 |       | (13,949,347)                                                                                           | 5,305,137   | 1,090,809    | (4,634,837)                    | 2,606,927                      |
| NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS         |       | 1,125,527                                                                                              | 12,062,802  | (10,142,797) | (9,860,519)                    | (4,139,706)                    |
| CASH AND CASH EQUIVALENTS AT BEGINNING OF THE FINANCIAL YEAR |       | 1,265,634                                                                                              | 2,391,161   | 14,453,963   | 14,453,963                     | 4,311,166                      |
| CASH AND CASH EQUIVALENTS AT END OF THE FINANCIAL YEAR       | 33(d) | 2,391,161                                                                                              | 14,453,963  | 4,311,166    | 4,593,444                      | 171,460                        |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****1. GENERAL INFORMATION**

JRK Holdings was incorporated in Malaysia on 12 December 2018 as a public company and a company limited by shares with the name of JRK Holdings Berhad. The Company is an investment holding and management services company.

The registered office and principal place of business are as follows:-

Registered office : Office Suite No. 603 Block C,  
Pusat Dagangan Phileo Damansara 1,  
No 9, Jalan 16/11, Off Jalan Damansara,  
46350 Petaling Jaya, Selangor.

Principal place of business : 122, Jalan Dataran Cheras 8,  
Cheras Traders Square,  
43200 Cheras, Selangor Darul Ehsan.

The principal activities and details of the subsidiaries are as follows:-

| Name of Subsidiary                                      | Principal Place of Business and Country of Incorporation | Percentage of Issued Share Capital Held by Parent |                |                |                        | Principal Activities            |
|---------------------------------------------------------|----------------------------------------------------------|---------------------------------------------------|----------------|----------------|------------------------|---------------------------------|
|                                                         |                                                          | <-- As at 31 December 2022 Audited %              | 2023 Audited % | 2024 Audited % | 31 July 2025 Audited % |                                 |
| Buana Perdana Sdn. Bhd. ("Buana Perdana")               | Malaysia                                                 | 90                                                | 96             | 96             | 100                    | Property development.           |
| JRK Asset Sdn. Bhd. ("JRK Asset")                       | Malaysia                                                 | 100                                               | 100            | 100            | 100                    | Property development.           |
| JRK Capital Sdn. Bhd. ("JRK Capital")                   | Malaysia                                                 | 70                                                | 70             | 70             | 100                    | Property development (Dormant). |
| JRK Development Sdn. Bhd. ("JRK Development")           | Malaysia                                                 | 100                                               | 100            | 100            | 100                    | Property development.           |
| JRK Estate Sdn. Bhd. ("JRK Estate")                     | Malaysia                                                 | 60                                                | 60             | 60             | 100                    | Licensed money lending.         |
| JRK Land Sdn. Bhd. ("JRK Land")                         | Malaysia                                                 | 100                                               | 100            | 100            | 100                    | Property development.           |
| Twinwood Development Sdn. Bhd. ("Twinwood Development") | Malaysia                                                 | 60                                                | 60             | 90             | 90                     | Property development.           |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****1. GENERAL INFORMATION (CONT'D)**

The principal activities and details of the subsidiaries are set out as follows (Cont'd):-

| Name of Subsidiary                                      | Principal Place of Business/<br>Country of Incorporation | Percentage of Issued Share Capital Held by Parent |                   |                   |                           | Principal Activities  |
|---------------------------------------------------------|----------------------------------------------------------|---------------------------------------------------|-------------------|-------------------|---------------------------|-----------------------|
|                                                         |                                                          | <-- As at 31 December --><br>2022<br>Audited %    | 2023<br>Audited % | 2024<br>Audited % | 31 July 2025<br>Audited % |                       |
| JRK Property Sdn. Bhd. ("JRK Property")                 | Malaysia                                                 | -                                                 | -                 | 100               | 100                       | Property development. |
| JRK (Seri Kembangan) Sdn. Bhd. ("JRK (Seri Kembangan)") | Malaysia                                                 | -                                                 | -                 | 100               | 100                       | Property development. |
| JRK (Damansara) Sdn. Bhd. ("JRK (Damansara)")           | Malaysia                                                 | -                                                 | -                 | -                 | 100                       | Property development. |

The Company and the above entities are collectively defined as "the Group".

**2. BASIS OF PREPARATION**

The consolidated financial statements of the Company are prepared based on the financial statements for the relevant financial years as follows:-

|                      | Note   | <----- FYE 31 December -----> |      |      | FPE 31 July |
|----------------------|--------|-------------------------------|------|------|-------------|
|                      |        | 2022                          | 2023 | 2024 | 2025        |
| JRK Holdings         |        | ✓                             | ✓    | ✓    | ✓           |
| Buana Perdana        | (i)    | ✓                             | ✓    | ✓    | ✓           |
| JRK Asset            |        | ✓                             | ✓    | ✓    | ✓           |
| JRK Capital          | (ii)   | ✓                             | ✓    | ✓    | ✓           |
| JRK Development      | (iii)  | ✓                             | ✓    | ✓    | ✓           |
| JRK Estate           | (iv)   | ✓                             | ✓    | ✓    | ✓           |
| JRK Land             |        | ✓                             | ✓    | ✓    | ✓           |
| Twinwood Development | (v)    | ✓                             | ✓    | ✓    | ✓           |
| JRK Property         | (vi)   | -                             | -    | ✓    | ✓           |
| JRK (Seri Kembangan) | (vii)  | -                             | -    | ✓    | ✓           |
| JRK (Damansara)      | (viii) | -                             | -    | -    | ✓           |

- ✓ The consolidated financial statements of the Company include the financial statements of these entities for the respective financial years.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****2. BASIS OF PREPARATION (CONT'D)**

- (i) On 18 April 2023, the Company acquired an additional 6% equity interests in Buana Perdana for a total cash consideration of RM2,000,000, increasing its ownership from 90% to 96%. On 24 April 2025, the Company acquired remaining 4% equity interests in Buana Perdana for a consideration of RM2,500,000. Following the completion of acquisition, Buana Perdana became a wholly-owned subsidiary of the Company. The details of the acquisition are disclosed in Notes 31.2(a) and 31.2(c) to the consolidated financial statements.
  - (ii) On 30 July 2025, the Company acquired remaining 30% equity interest in JRK Capital for a consideration of RM3. Following the completion of acquisition, Buana Perdana become a wholly-owned subsidiary of the Company. The details of the acquisition are disclosed in Note 31.2(e) to the consolidated financial statements.
  - (iii) On 27 December 2023, the Company subscribed for an additional 999,000 ordinary shares in JRK Development for a total cash consideration of RM999,000.
  - (iv) On 24 April 2025, the Company acquired remaining 40% equity interest in JRK Estate for a consideration of RM800,000. Following the completion of acquisition, JRK Estate become a wholly-owned subsidiary of the Company. The details of the acquisition are disclosed in Note 31.2(b) to the consolidated financial statements.
  - (v) On 8 April 2024, the Company has acquired an additional of 600,003 units of ordinary shares in Twinwood Development for a total consideration of RM2,000,000. Following the acquisition, the Company's equity interest in Twinwood Development increased to 90%. With the remaining 10% held by JRK Land, Twinwood Development became a wholly-owned subsidiary of the Company. The details of the acquisition are disclosed in Note 31.2(d) to the consolidated financial statements.
  - (vi) JRK Property was not consolidated in FYE 2022 and FYE 2023 as it was acquired and became a wholly-owned subsidiary on 13 May 2024.
  - (vii) JRK (Seri Kembangan) was incorporated on 17 May 2024 with an issued share capital of RM2 comprising 2 ordinary shares. On 17 May 2024, JRK Holdings had subscribed for 2 ordinary shares representing 100% equity interest in JRK (Seri Kembangan).
  - (viii) JRK (Damansara) was incorporated in 21 July 2025 with an issued share capital of RM1 comprising 1 ordinary share. On 21 July 2025, JRK Holdings had subscribed for 1 ordinary share representing 100% equity interest in JRK (Damansara).
- 2.1 The consolidated financial statements of the Group are prepared under the historical cost convention and modified to include other bases of valuation as disclosed in other sections under material accounting policy information, and in compliance with MFRS, IFRS Accounting Standards and Prospectus Guidelines.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****2. BASIS OF PREPARATION (CONT'D)**

- 2.2 The Group has not applied in advance the following accounting standards and/or interpretations (including the consequential amendments, if any) that have been issued by the Malaysian Accounting Standards Board ("MASB") but are not yet effective for the current financial year/period:-

| <b>MFRSs and/or IC Interpretations (Including The Consequential Amendments)</b>                                           | <b>Effective Date</b> |
|---------------------------------------------------------------------------------------------------------------------------|-----------------------|
| MFRS 18 Presentation and Disclosure in Financial Statements                                                               | 1 January 2027        |
| MFRS 19 Subsidiaries without Public Accountability: Disclosures                                                           | 1 January 2027        |
| Amendments to MFRS 9 and MFRS 7: Amendments to the Classification and Measurement of Financial Instruments                | 1 January 2026        |
| Amendments to MFRS 9 and MFRS 7: Contracts Referencing Nature-dependent Electricity                                       | 1 January 2026        |
| Amendments to MFRS 10 and MFRS 128: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture | Deferred              |
| Amendments to MFRS 19: Subsidiaries without Public Accountability Disclosures                                             | 1 January 2027        |
| Annual Improvements to MFRS Accounting Standards - Volume 11                                                              | 1 January 2026        |

The adoption of the above accounting standards and/or interpretations (including the consequential amendments, if any) is expected to have no material impact on the consolidated financial statements of the Group upon its initial application except as follows:-

**MFRS 18 Presentation and Disclosure of Financial Statements**

MFRS 18 'Presentation and Disclosure in Financial Statements' will replace MFRS 101 'Presentation of Financial Statements' upon its adoption. This new standard aims to enhance the transparency and comparability of financial information by introducing new disclosure requirements. Specifically, it requires that income and expenses be classified into 3 defined categories: "operating", "investing" and "financing" and introduces 2 new subtotals: "operating profit or loss" and "profit or loss before financing and income tax". In addition, MFRS 18 requires the disclosure of management-defined performance measures and sets out principles for the aggregation and disaggregation of information, which will apply to all primary financial statements and the accompanying notes. The statement of financial position and the statement of cash flows will also be affected. The potential impact of the new standard on the financial statements of the Group has yet to be assessed.

---

**14. ACCOUNTANTS' REPORT (CONT'D)**

---

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**3. MATERIAL ACCOUNTING POLICY INFORMATION**

**3.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS**

*Key Sources of Estimation Uncertainty*

Management believes that there are no key assumptions made concerning the future, and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial period other than as disclosed below:-

**(a) Depreciation of Property, Plant and Equipment**

The estimates for the residual values, useful lives and related depreciation charges for the property, plant and equipment are based on commercial factors which could change significantly as a result of technical innovations and competitors' actions in response to the market conditions. The Group anticipates that the residual values of its property, plant and equipment will be insignificant. As a result, residual values are not being taken into consideration for the computation of the depreciable amount. Changes in the expected level of usage and technological development could impact the economic useful lives and the residual values of these assets, therefore future depreciation charges could be revised. The carrying amount of property, plant and equipment as at the reporting date is disclosed in Note 4 to the consolidated financial statements.

**(b) Impairment of Property, Plant and Equipment**

The Group determines whether an item of its property, plant and equipment is impaired by evaluating the extent to which the recoverable amount of the asset is less than its carrying amount. The evaluation is subject to changes such as market performance, economic and political situation of the country. A variety of methods is used to determine the recoverable amount, such as valuation reports and discounted cash flows. The carrying amount of property, plant and equipment as at the reporting date is disclosed in Note 4 to the consolidated financial statements.

**(c) Write-down of Inventories**

Inventories held for sale are stated at the lower of cost or net realisable value. The Group estimates the net realisable value of inventories based on an assessment of expected sales prices.

Inventories held for sale are reviewed on a regular basis and the Group will make an allowance for impairment primarily based on historical trends and management estimates of expected and future product demand and related pricing. Demand and pricing levels could change from time to time. If such factors result in an adverse effect on the Group's products, the Group provides additional allowances for slow moving inventories.

The carrying amount of the Group's completed properties as at reporting date is disclosed in Note 7 to the consolidated financial statements.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****3.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)***Key Sources of Estimation Uncertainty (Cont'd)*

Management believes that there are no key assumptions made concerning the future, and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial period other than as disclosed below (Cont'd):-

**(d) Impairment of Trade Receivables and Contract Assets**

The Group uses the simplified approach to estimate a lifetime expected credit loss allowance for all trade receivables and contract assets. The contract assets are grouped with trade receivables for impairment assessment because they have substantially the same risk characteristics as the trade receivables for the same types of contracts. The Group develops the expected loss rates based on the payment profiles of past sales and the corresponding historical credit losses, and adjusts for qualitative and quantitative reasonable and supportable forward-looking information. If the expectation is different from the estimation, such difference will impact the carrying value of trade receivables and contract assets. The carrying amounts of trade receivables and contract assets as at the reporting date are disclosed in Notes 10 and 12 to the consolidated financial statements respectively.

**(e) Impairment of Non-Trade Receivables**

The loss allowances for non-trade financial assets are based on assumptions about risk of default (probability of default) and expected loss if a default happens (loss given default). It also requires the Group to assess whether there is a significant increase in credit risk of the non-trade financial asset at the reporting date. The Group uses judgement in making these assumptions and selecting appropriate inputs to the impairment calculation, based on the past payment trends, existing market conditions and forward-looking information. The carrying amount of other receivables as at the reporting date are disclosed in Note 11 to the consolidated financial statements.

**(f) Income Taxes**

There are certain transactions and computations for which the ultimate tax determination may be different from the initial estimate. The Group recognises tax liabilities based on its understanding of the prevailing tax laws and estimates of whether such taxes will be due in the ordinary course of business. Where the final outcome of these matters is different from the amounts that were initially recognised, such difference will impact the income tax expense and deferred tax balances in the period in which such determination is made.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****3.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)***Key Sources of Estimation Uncertainty (Cont'd)*

Management believes that there are no key assumptions made concerning the future, and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial period other than as disclosed below (Cont'd):-

**(f) Income Taxes (Cont'd)**

The carrying amounts of the current tax assets and current tax liabilities of the Group as at the reporting date are as follows:-

|                         | <----- Audited ----->         |             |             |             |
|-------------------------|-------------------------------|-------------|-------------|-------------|
|                         | <----- FYE 31 December -----> |             |             | As at 31    |
|                         | 2022                          | 2023        | 2024        | July 2025   |
|                         | RM                            | RM          | RM          | RM          |
| Current tax assets      | 6,543                         | -           | 216,654     | 228,165     |
| Current tax liabilities | (2,735,363)                   | (5,069,280) | (4,056,404) | (3,322,081) |

**(g) Revenue and Cost Recognition of Property Development Activities**

The Group recognises property development revenue as and when the control of the asset is transferred to a customer and it is probable that the Group will collect the consideration to which it will be entitled. The control of the asset may transfer over time or at a point in time depending on the terms of the contract with the customer and the applicable laws governing the contract.

When the control of the asset is transferred over time, the Group recognises property development revenue and costs by reference to the progress towards complete satisfaction of the performance obligation at the end of the reporting period. This is measured based on the Group's efforts or budgeted inputs to the satisfaction of the performance obligation. Significant judgement is required in determining the completeness and accuracy of the budgets and the extent of the costs incurred. Substantial changes in property development cost estimates in the future can have a significant effect on the Group's results. In making the judgement, the Group evaluates and relies on past experience and works of specialists.

**(h) Discount Rates used in Leases**

Where the interest rate implicit in the lease cannot be readily determined, the Group uses the incremental borrowing rate to measure the lease liabilities. The incremental borrowing rate is the interest rate that the Group would have to pay to borrow over a similar term, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. Therefore, the incremental borrowing rate requires estimation particularly when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the incremental borrowing rate using observable inputs when available and is required to make certain entity-specific estimates.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****3.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)***Critical Judgements Made in Applying Accounting Policies*

Management believes that there are no instances of application of critical judgement in applying the accounting policies of the Group which will have a significant effect on the amounts recognised in the consolidated financial statements other than as disclosed below:-

**Lease Terms**

Some leases contain extension options exercisable by the Group before the end of the non-cancellable contract period. In determining the lease term, management considers all facts and circumstances including the past practice and any cost that will be incurred to change the asset if an option to extend is not taken. An extension option is only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

**3.2 FINANCIAL INSTRUMENTS****(a) Financial Assets**Financial Assets at Amortised Cost

The financial assets are initially measured at fair value plus transaction costs except for trade receivables without significant financing component which are measured at transaction price only. Subsequent to the initial recognition, all financial assets are measured at amortised cost less any impairment losses.

**(b) Financial Liabilities**Financial Liabilities at Amortised Cost

The financial liabilities are initially measured at fair value less transaction costs. Subsequent to the initial recognition, the financial liabilities are measured at amortised cost.

**(c) Equity**Ordinary Shares

Ordinary shares are recorded on initial recognition at the proceeds received less directly attributable transaction costs incurred. The ordinary shares are not remeasured subsequently.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****3.3 GOODWILL**

Goodwill is initially measured at cost. Subsequent to the initial recognition, the goodwill is measured at cost less accumulated impairment losses, if any. A bargain purchase gain is recognised in profit or loss immediately.

**3.4 PROPERTY, PLANT AND EQUIPMENT**

All items of property, plant and equipment are initially measured at cost.

Subsequent to the initial recognition, all property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation on property, plant and equipment is calculated using the straight-line method to allocate their depreciable amounts over the estimated useful lives. The principal annual depreciation rates are:-

|                        |           |
|------------------------|-----------|
| Leasehold land         | 82 years  |
| Computer and software  | 10% - 20% |
| Furniture and fittings | 10% - 20% |
| Motor vehicles         | 20%       |
| Office equipment       | 10% - 20% |
| Renovation             | 10% - 20% |
| Signboard              | 10% - 20% |
| Site equipment         | 20%       |

Capital work-in-progress represent sales gallery under construction. They are not depreciated until such time when the asset is available for use.

**3.5 INVESTMENT PROPERTIES**

Investment properties are initially measured at cost. Subsequent to the initial recognition, the investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses.

Freehold land is not depreciated. Depreciation on other investment property is calculated using the straight-line method to allocate the depreciable amounts over the estimated useful lives. The principal annual depreciation rate is:-

|          |    |
|----------|----|
| Building | 3% |
|----------|----|

**3.6 RIGHT-OF-USE ASSETS AND LEASE LIABILITIES****(a) Leases of Low-value Assets**

The Group applies the "lease of low-value assets" recognition exemption. For these leases, the Group recognises the lease payments as an operating expense on a straight-line method over the term of the lease unless another systematic basis is more appropriate.

---

**14. ACCOUNTANTS' REPORT (CONT'D)**

---

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)**

**3.6 RIGHT-OF-USE ASSETS AND LEASE LIABILITIES (CONT'D)**

**(b) Right-of-use Assets**

Right-of-use assets are initially measured at cost. Subsequent to the initial recognition, the right-of-use assets are stated at cost less accumulated depreciation and any accumulated impairment losses, and adjusted for any remeasurement of lease liabilities.

The right-of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the estimated useful lives of the right-of-use assets or the end of the lease term.

**(c) Lease Liabilities**

Lease liabilities are initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the entities' incremental borrowing rate. Subsequent to the initial recognition, the lease liabilities are measured at amortised cost and adjusted for any lease reassessment or modifications.

**3.7 INVENTORIES**

Land Held For Property Development

Land held for property development is stated at the lower of cost and net realisable value. Cost comprises cost associated with the purchase of land, conversion fees and other relevant levies.

Land held for property development comprise land banks which are in the process of being prepared for development but have not been commenced, or where development activities are not expected to commence within the normal operating cycle. Generally no significant development work would have been undertaken on these lands other than project planning, infrastructure work, earth work and landscape work incurred to prepare the land for development.

Land held for property development is transferred to property development cost category when development activities have commenced and are expected to be launched within the normal operating cycle.

Inventories

Completed properties are stated at the lower of cost and net realisable value. Cost is determined specific identification and comprises cost associated with the purchase of land (including all related costs incurred subsequent to the acquisition necessary to prepare the land for its intended use), construction costs and other related development costs incurred in bringing the inventories to their present location and condition.

Property Development Costs

Property development costs are stated at the lower of cost and net realisable value. Cost comprises cost associated with the purchase of land, conversion fees, aggregate cost of development, materials and supplies, wages and other direct expenses.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****3.7 INVENTORIES (CONT'D)**Property Development Costs (Cont'd)

The property development costs of unsold units are transferred to inventories once the development is completed.

**4. PROPERTY, PLANT AND EQUIPMENT**

|                         | At<br>1.1.2022<br>RM | Additions<br>RM | Depreciation<br>Charges<br>RM | At<br>31.12.2022<br>RM |
|-------------------------|----------------------|-----------------|-------------------------------|------------------------|
| <b>Audited</b>          |                      |                 |                               |                        |
| <b>31 December 2022</b> |                      |                 |                               |                        |
| <i>Carrying Amount</i>  |                      |                 |                               |                        |
| Computer and software   | 82,500               | 71,856          | (14,140)                      | 140,216                |
| Furniture and fittings  | 51,502               | 30,272          | (8,414)                       | 73,360                 |
| Office equipment        | 32,409               | 10,779          | (4,430)                       | 38,758                 |
| Signboard               | 6,898                | 10,000          | (1,981)                       | 14,917                 |
|                         | 173,309              | 122,907         | (28,965)                      | 267,251                |

|                         | At<br>1.1.2023<br>RM | Additions<br>RM | Depreciation<br>Charges<br>RM | At<br>31.12.2023<br>RM |
|-------------------------|----------------------|-----------------|-------------------------------|------------------------|
| <b>Audited</b>          |                      |                 |                               |                        |
| <b>31 December 2023</b> |                      |                 |                               |                        |
| <i>Carrying Amount</i>  |                      |                 |                               |                        |
| Computer and software   | 140,216              | 69,238          | (24,297)                      | 185,157                |
| Furniture and fittings  | 73,360               | 37,139          | (12,861)                      | 97,638                 |
| Motor vehicles          | -                    | 2,226,219       | (445,244)                     | 1,780,975              |
| Office equipment        | 38,758               | 53,533          | (10,201)                      | 82,090                 |
| Signboard               | 14,917               | -               | (1,981)                       | 12,936                 |
| Site equipment          | -                    | 1,899           | (380)                         | 1,519                  |
|                         | 267,251              | 2,388,028       | (494,964)                     | 2,160,315              |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

|                          | At<br>1.1.2024<br>RM | Transfer<br>from<br>Inventories<br>(Note 7)<br>RM | Additions<br>RM | Depreciation<br>Charges<br>RM | At<br>31.12.2024<br>RM |
|--------------------------|----------------------|---------------------------------------------------|-----------------|-------------------------------|------------------------|
| <b>Audited</b>           |                      |                                                   |                 |                               |                        |
| <b>31 December 2024</b>  |                      |                                                   |                 |                               |                        |
| <i>Carrying Amount</i>   |                      |                                                   |                 |                               |                        |
| Leasehold land           | -                    | 601,041                                           | -               | (7,330)                       | 593,711                |
| Computer and software    | 185,157              | -                                                 | 20,288          | (26,455)                      | 178,990                |
| Furniture and fittings   | 97,638               | -                                                 | 23,732          | (15,233)                      | 106,137                |
| Motor vehicles           | 1,780,975            | -                                                 | 254,438         | (479,160)                     | 1,556,253              |
| Office equipment         | 82,090               | -                                                 | 6,743           | (10,873)                      | 77,960                 |
| Signboard                | 12,936               | -                                                 | -               | (1,981)                       | 10,955                 |
| Site equipment           | 1,519                | -                                                 | -               | (380)                         | 1,139                  |
| Capital work-in-progress | -                    | 387,140                                           | -               | -                             | 387,140                |
|                          | 2,160,315            | 988,181                                           | 305,201         | (541,412)                     | 2,912,285              |

|                          | At<br>1.1.2025<br>RM | Additions<br>RM | Depreciation<br>Charges<br>RM | At<br>31.7.2025<br>RM |
|--------------------------|----------------------|-----------------|-------------------------------|-----------------------|
| <b>Audited</b>           |                      |                 |                               |                       |
| <b>31 July 2025</b>      |                      |                 |                               |                       |
| <i>Carrying Amount</i>   |                      |                 |                               |                       |
| Leasehold land           | 593,711              | -               | (4,276)                       | 589,435               |
| Computer and software    | 178,990              | 27,159          | (16,690)                      | 189,459               |
| Furniture and fittings   | 106,137              | 12,500          | (9,615)                       | 109,022               |
| Motor vehicles           | 1,556,253            | 259,000         | (306,677)                     | 1,508,576             |
| Office equipment         | 77,960               | 10,800          | (6,582)                       | 82,178                |
| Signboard                | 10,955               | -               | (1,156)                       | 9,799                 |
| Site equipment           | 1,139                | -               | (221)                         | 918                   |
| Capital work-in-progress | 387,140              | 2,948,638       | -                             | 3,335,778             |
|                          | 2,912,285            | 3,258,097       | (345,217)                     | 5,825,165             |

**14. ACCOUNTANTS' REPORT (CONT'D)**
**JRK HOLDINGS BERHAD**
**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**
**4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

|                                     | At Cost<br>RM    | Accumulated<br>Depreciation<br>RM | Carrying<br>Amount<br>RM |
|-------------------------------------|------------------|-----------------------------------|--------------------------|
| <b>Audited<br/>31 December 2022</b> |                  |                                   |                          |
| Computer and software               | 170,163          | (29,947)                          | 140,216                  |
| Furniture and fittings              | 233,653          | (160,293)                         | 73,360                   |
| Motor vehicles                      | 97,350           | (97,350)                          | -                        |
| Office equipment                    | 125,452          | (86,694)                          | 38,758                   |
| Renovation                          | 45,803           | (45,803)                          | -                        |
| Signboard                           | 27,010           | (12,093)                          | 14,917                   |
|                                     | <b>699,431</b>   | <b>(432,180)</b>                  | <b>267,251</b>           |
| <b>Audited<br/>31 December 2023</b> |                  |                                   |                          |
| Computer and software               | 239,401          | (54,244)                          | 185,157                  |
| Furniture and fittings              | 270,792          | (173,154)                         | 97,638                   |
| Motor vehicles                      | 2,323,569        | (542,594)                         | 1,780,975                |
| Office equipment                    | 178,985          | (96,895)                          | 82,090                   |
| Renovation                          | 45,803           | (45,803)                          | -                        |
| Signboard                           | 27,010           | (14,074)                          | 12,936                   |
| Site equipment                      | 1,899            | (380)                             | 1,519                    |
|                                     | <b>3,087,459</b> | <b>(927,144)</b>                  | <b>2,160,315</b>         |
| <b>Audited<br/>31 December 2024</b> |                  |                                   |                          |
| Leasehold land                      | 601,041          | (7,330)                           | 593,711                  |
| Computer and software               | 259,689          | (80,699)                          | 178,990                  |
| Furniture and fittings              | 294,524          | (188,387)                         | 106,137                  |
| Motor vehicles                      | 2,578,007        | (1,021,754)                       | 1,556,253                |
| Office equipment                    | 185,728          | (107,768)                         | 77,960                   |
| Renovation                          | 45,803           | (45,803)                          | -                        |
| Signboard                           | 27,010           | (16,055)                          | 10,955                   |
| Site equipment                      | 1,899            | (760)                             | 1,139                    |
| Capital work-in-progress            | 387,140          | -                                 | 387,140                  |
|                                     | <b>4,380,841</b> | <b>(1,468,556)</b>                | <b>2,912,285</b>         |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

|                                 | At Cost<br>RM    | Accumulated<br>Depreciation<br>RM | Carrying<br>Amount<br>RM |
|---------------------------------|------------------|-----------------------------------|--------------------------|
| <b>Audited<br/>31 July 2025</b> |                  |                                   |                          |
| Leasehold land                  | 601,041          | (11,606)                          | 589,435                  |
| Computer and software           | 286,848          | (97,389)                          | 189,459                  |
| Furniture and fittings          | 307,024          | (198,002)                         | 109,022                  |
| Motor vehicles                  | 2,837,007        | (1,328,431)                       | 1,508,576                |
| Office equipment                | 196,528          | (114,350)                         | 82,178                   |
| Renovation                      | 45,803           | (45,803)                          | -                        |
| Signboard                       | 27,010           | (17,211)                          | 9,799                    |
| Site equipment                  | 1,899            | (981)                             | 918                      |
| Capital work-in-progress        | 3,335,778        | -                                 | 3,335,778                |
|                                 | <b>7,638,938</b> | <b>(1,813,773)</b>                | <b>5,825,165</b>         |

- (a) Included in the property, plant and equipment of the Group are the following assets held under hire purchase arrangements:-

|                | <b>&lt;----- Audited -----&gt;</b>           |             |                                      |
|----------------|----------------------------------------------|-------------|--------------------------------------|
|                | <b>&lt;----- As at 31 December -----&gt;</b> |             |                                      |
|                | <b>2022</b>                                  | <b>2023</b> | <b>2024</b>                          |
|                | RM                                           | RM          | RM                                   |
| Motor vehicles | -                                            | 1,780,975   | 1,556,253                            |
|                |                                              |             | <b>As at 31<br/>July 2025<br/>RM</b> |
|                |                                              |             | 1,508,576                            |

These assets have been pledged as security for the hire purchase payables of the Group as disclosed in Note 19 to the consolidated financial statements.

- (b) Included in the carrying amount of the property, plant and equipment of the Group was leasehold land pledged to financial institution as security for the banking facilities granted to the Group as disclosed in Notes 18, 25 and 26 to the consolidated financial statements.

|                | <b>&lt;----- Audited -----&gt;</b>           |             |                                      |
|----------------|----------------------------------------------|-------------|--------------------------------------|
|                | <b>&lt;----- As at 31 December -----&gt;</b> |             |                                      |
|                | <b>2022</b>                                  | <b>2023</b> | <b>2024</b>                          |
|                | RM                                           | RM          | RM                                   |
| Leasehold land | -                                            | -           | 593,711                              |
|                |                                              |             | <b>As at 31<br/>July 2025<br/>RM</b> |
|                |                                              |             | 589,435                              |

- (c) The Group's capital work-in-progress represents capital expenditures incurred for sales gallery under construction.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****5. INVESTMENT PROPERTIES**

|                                                | <----- Audited ----->           |      |           |           |
|------------------------------------------------|---------------------------------|------|-----------|-----------|
|                                                | <----- As at 31 December -----> |      |           | As at 31  |
|                                                | 2022                            | 2023 | 2024      | July 2025 |
|                                                | RM                              | RM   | RM        | RM        |
| Cost:-                                         |                                 |      |           |           |
| At 1 January                                   | -                               | -    | -         | 1,300,000 |
| Acquisition of a subsidiary (Note 31.1)        | -                               | -    | 1,300,000 | -         |
| At 31 December/ 31 July                        | -                               | -    | 1,300,000 | 1,300,000 |
| Accumulated depreciation:-                     |                                 |      |           |           |
| At 1 January                                   | -                               | -    | -         | (11,414)  |
| Depreciation during the financial year/ period | -                               | -    | (11,414)  | (6,659)   |
| At 31 December/ 31 July                        | -                               | -    | (11,414)  | (18,073)  |
|                                                | -                               | -    | 1,288,586 | 1,281,927 |
| Represented by:-                               |                                 |      |           |           |
| Freehold land                                  | -                               | -    | 1,000,000 | 1,000,000 |
| Freehold building                              | -                               | -    | 288,586   | 281,927   |
| At 31 December/ 31 July                        | -                               | -    | 1,288,586 | 1,281,927 |
| Fair value                                     |                                 |      |           |           |
| Freehold land                                  | -                               | -    | 1,000,000 | 1,000,000 |
| Freehold building                              | -                               | -    | 300,000   | 300,000   |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****5. INVESTMENT PROPERTIES (CONT'D)**

- (a) The freehold building of the Group is leased to a tenant under operating lease with rental payable monthly. The lease contains initial non-cancellable periods of 1 (31.12.2024 - 1, 31.12.2023 - Nil and 31.12.2022 - Nil) year.

The Group requires 3 months of advance rental payments from the tenant. The lease does not include a residual value guarantee and variable lease payments that depend on an index or rate.

As at the reporting date, the future minimum rentals receivable under the non-cancellable operating leases are as follows:-

|               | <----- Audited ----->           |      |       |           |
|---------------|---------------------------------|------|-------|-----------|
|               | <----- As at 31 December -----> |      |       | As at 31  |
|               | 2022                            | 2023 | 2024  | July 2025 |
|               | RM                              | RM   | RM    | RM        |
| Within 1 year | -                               | -    | 1,500 | 8,500     |

- (b) In FYE 2024 and FPE 2025, the freehold land has been pledged to a licensed bank as security for banking facilities granted to the Group as disclosed in Note 18 to the consolidated financial statements.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****6. RIGHT-OF-USE ASSETS**

|                                     | At<br>1.1.2022<br>RM | Addition<br>RM | Modification<br>of lease<br>liabilities<br>RM | Depreciation<br>Charges<br>RM | At<br>31.12.2022<br>RM |
|-------------------------------------|----------------------|----------------|-----------------------------------------------|-------------------------------|------------------------|
| <b>Audited<br/>31 December 2022</b> |                      |                |                                               |                               |                        |
| <i>Carrying Amount</i>              |                      |                |                                               |                               |                        |
| Sales gallery                       | 386,748              | -              | 901,543                                       | (331,498)                     | 956,793                |
| Offices                             | 137,482              | 32,669         | -                                             | (120,144)                     | 50,007                 |
|                                     | <b>524,230</b>       | <b>32,669</b>  | <b>901,543</b>                                | <b>(451,642)</b>              | <b>1,006,800</b>       |

|                                     | At<br>1.1.2023<br>RM | Addition<br>RM | Modification<br>of lease<br>liabilities<br>RM | Depreciation<br>Charges<br>RM | At<br>31.12.2023<br>RM |
|-------------------------------------|----------------------|----------------|-----------------------------------------------|-------------------------------|------------------------|
| <b>Audited<br/>31 December 2023</b> |                      |                |                                               |                               |                        |
| <i>Carrying Amount</i>              |                      |                |                                               |                               |                        |
| Sales gallery                       | 956,793              | -              | -                                             | (430,893)                     | 525,900                |
| Offices                             | 50,007               | 40,833         | 225,226                                       | (137,966)                     | 178,100                |
|                                     | <b>1,006,800</b>     | <b>40,833</b>  | <b>225,226</b>                                | <b>(568,859)</b>              | <b>704,000</b>         |

|                                     | At<br>1.1.2024<br>RM | Reassessment/<br>Modification<br>of lease<br>liabilities<br>RM | Depreciation<br>Charges<br>RM | At<br>31.12.2024<br>RM |
|-------------------------------------|----------------------|----------------------------------------------------------------|-------------------------------|------------------------|
| <b>Audited<br/>31 December 2024</b> |                      |                                                                |                               |                        |
| <i>Carrying Amount</i>              |                      |                                                                |                               |                        |
| Sales gallery                       | 525,900              | -                                                              | (450,771)                     | 75,129                 |
| Offices                             | 178,100              | 250,530                                                        | (197,640)                     | 230,990                |
|                                     | <b>704,000</b>       | <b>250,530</b>                                                 | <b>(648,411)</b>              | <b>306,119</b>         |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****6. RIGHT-OF-USE ASSETS (CONT'D)**

|                                 | At<br>1.1.2025<br>RM | Modification<br>of lease<br>liabilities<br>RM | Depreciation<br>Charges<br>RM | At<br>31.7.2025<br>RM |
|---------------------------------|----------------------|-----------------------------------------------|-------------------------------|-----------------------|
| <b>Audited<br/>31 July 2025</b> |                      |                                               |                               |                       |
| <i>Carrying Amount</i>          |                      |                                               |                               |                       |
| Sales gallery                   | 75,129               | -                                             | (75,129)                      | -                     |
| Offices                         | 230,990              | 94,391                                        | (121,586)                     | 203,795               |
|                                 | <u>306,119</u>       | <u>94,391</u>                                 | <u>(196,715)</u>              | <u>203,795</u>        |

The Group leases a sales gallery and offices of which the leasing activities are summarised below:-

- (i) Sales gallery The Group has leased a sales gallery that runs for Nil (31.12.2024 - 1, 31.12.2023 - 1 and 31.12.2022 - 1) year, with an option to renew the lease for 2 years after that date. The Group is not allowed to sublease the sales gallery.
- (ii) Offices The Group has leased offices that run between 1 to 2 (31.12.2024 - 1 to 2, 31.12.2023 - 1 to 2 and 31.12.2022 - 1) years, with an option to renew the lease for 1 year after that date. The Group is not allowed to sublease the offices.

**7. INVENTORIES**

|                                    | <b>Audited</b>           |                   |                  |                   |
|------------------------------------|--------------------------|-------------------|------------------|-------------------|
|                                    | <b>As at 31 December</b> |                   |                  | <b>As at 31</b>   |
|                                    | <b>2022</b>              | <b>2023</b>       | <b>2024</b>      | <b>July 2025</b>  |
|                                    | <b>RM</b>                | <b>RM</b>         | <b>RM</b>        | <b>RM</b>         |
| <b>Non-current</b>                 |                          |                   |                  |                   |
| Land held for property development | 13,356,941               | 31,130,005        | 45,521,118       | 49,732,580        |
| <b>Current</b>                     |                          |                   |                  |                   |
| Property development costs         | 18,681,158               | 11,661,926        | 4,064,133        | 16,557,246        |
| Completed development units        | -                        | -                 | 1,871,326        | 9,434,039         |
|                                    | <u>18,681,158</u>        | <u>11,661,926</u> | <u>5,935,459</u> | <u>25,991,285</u> |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****7. INVENTORIES (CONT'D)**

Land held for property development are analysed as follows:-

|                                                    | <----- Audited ----->           |            |            |              |
|----------------------------------------------------|---------------------------------|------------|------------|--------------|
|                                                    | <----- As at 31 December -----> |            |            | As at 31     |
|                                                    | 2022                            | 2023       | 2024       | July 2025    |
|                                                    | RM                              | RM         | RM         | RM           |
| At 1 January                                       |                                 |            |            |              |
| - leasehold land                                   | 12,543,245                      | 12,543,245 | 29,027,086 | 40,797,663   |
| - development costs                                | 690,540                         | 813,696    | 2,102,919  | 4,723,455    |
|                                                    | 13,233,785                      | 13,356,941 | 31,130,005 | 45,521,118   |
| Additions during the financial year/ period:       |                                 |            |            |              |
| - leasehold land                                   | -                               | 16,483,841 | 12,146,378 | 18,000,000   |
| - development costs                                | 123,156                         | 1,289,223  | 3,007,676  | 2,458,345    |
| Acquisition of a subsidiary (Note 31.1)            | -                               | -          | 225,240    | -            |
| Transfer to property, plant and equipment (Note 4) | -                               | -          | (988,181)  | -            |
| Transfer from prepayment and deposit               | -                               | -          | -          | 2,150,000    |
| Transfer to property development costs             | -                               | -          | -          | (18,396,883) |
|                                                    | 13,356,941                      | 31,130,005 | 45,521,118 | 49,732,580   |
| At 31 December/31 July                             |                                 |            |            |              |
| - leasehold land                                   | 12,543,245                      | 29,027,086 | 40,797,663 | 47,654,418   |
| - development costs                                | 813,696                         | 2,102,919  | 4,723,455  | 2,078,162    |
|                                                    | 13,356,941                      | 31,130,005 | 45,521,118 | 49,732,580   |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****7. INVENTORIES (CONT'D)**

Property development costs are analysed as follows:

|                   | <b>&lt;----- Audited -----&gt;</b>           |                   |                  |                   |
|-------------------|----------------------------------------------|-------------------|------------------|-------------------|
|                   | <b>&lt;----- As at 31 December -----&gt;</b> |                   |                  | <b>As at 31</b>   |
|                   | <b>2022</b>                                  | <b>2023</b>       | <b>2024</b>      | <b>July 2025</b>  |
|                   | <b>RM</b>                                    | <b>RM</b>         | <b>RM</b>        | <b>RM</b>         |
| Freehold land     | 9,536,185                                    | 5,626,610         | 1,747,155        | -                 |
| Leasehold land    | 2,913,703                                    | -                 | -                | 13,143,245        |
| Development costs | 6,231,270                                    | 6,035,316         | 2,316,978        | 3,414,001         |
|                   | <b>18,681,158</b>                            | <b>11,661,926</b> | <b>4,064,133</b> | <b>16,557,246</b> |

- (a) Included in the carrying amount of the inventories of the Group was land held for property development pledged to licensed bank as security for the banking facilities granted to the Group as disclosed in Notes 18 and 26 to the consolidated financial statements.

|                                    | <b>&lt;----- Audited -----&gt;</b>           |             |             |                  |
|------------------------------------|----------------------------------------------|-------------|-------------|------------------|
|                                    | <b>&lt;----- As at 31 December -----&gt;</b> |             |             | <b>As at 31</b>  |
|                                    | <b>2022</b>                                  | <b>2023</b> | <b>2024</b> | <b>July 2025</b> |
|                                    | <b>RM</b>                                    | <b>RM</b>   | <b>RM</b>   | <b>RM</b>        |
| Land held for property development | 8,082,351                                    | 13,144,286  | 19,469,663  | 39,469,663       |

- (b) Included in the carrying amount of the inventories of the Group was land held for property development pledged to licensed bank as security for the banking facilities granted to the Group as disclosed in Notes 18 and 25 to the consolidated financial statements.

|                                    | <b>&lt;----- Audited -----&gt;</b>           |             |             |                  |
|------------------------------------|----------------------------------------------|-------------|-------------|------------------|
|                                    | <b>&lt;----- As at 31 December -----&gt;</b> |             |             | <b>As at 31</b>  |
|                                    | <b>2022</b>                                  | <b>2023</b> | <b>2024</b> | <b>July 2025</b> |
|                                    | <b>RM</b>                                    | <b>RM</b>   | <b>RM</b>   | <b>RM</b>        |
| Land held for property development | -                                            | 601,041     | -           | -                |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****7. INVENTORIES (CONT'D)**

(c) Inventories recognised in cost of sales as follows:-

|                                         | <----- Audited ----->           |            |            |            |
|-----------------------------------------|---------------------------------|------------|------------|------------|
|                                         | <----- As at 31 December -----> |            |            | As at 31   |
|                                         | 2022                            | 2023       | 2024       | July 2025  |
|                                         | RM                              | RM         | RM         | RM         |
| Inventories recognised as cost of sales | 26,862,723                      | 30,299,039 | 63,843,000 | 21,256,504 |

**8. GOODWILL**

|                               | <----- Audited ----->           |           |           |           |
|-------------------------------|---------------------------------|-----------|-----------|-----------|
|                               | <----- As at 31 December -----> |           |           | As at 31  |
|                               | 2022                            | 2023      | 2024      | July 2025 |
|                               | RM                              | RM        | RM        | RM        |
| Cost                          | 181,812                         | 181,812   | 181,812   | 181,812   |
| Accumulated impairment losses | (181,812)                       | (181,812) | (181,812) | (181,812) |
| At 31 December/31 July        | -                               | -         | -         | -         |

During FYE 2022, impairment losses of RM181,812 were recognised on JRK Land, JRK Asset, JRK Development and JRK Estate in "Other Expenses" line item of Statement of Profit or Loss and Other Comprehensive Income which had been incurring losses for a number of financial years.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****9. CONTRACT COST ASSETS**

|                                          | <b>&lt;----- Audited -----&gt;</b>           |                   |                  |                  |
|------------------------------------------|----------------------------------------------|-------------------|------------------|------------------|
|                                          | <b>&lt;----- As at 31 December -----&gt;</b> |                   |                  | <b>As at 31</b>  |
|                                          | <b>2022</b>                                  | <b>2023</b>       | <b>2024</b>      | <b>July 2025</b> |
|                                          | <b>RM</b>                                    | <b>RM</b>         | <b>RM</b>        | <b>RM</b>        |
| Incremental costs of obtaining contracts | 3,431,595                                    | 3,232,559         | 1,260,807        | 19,383           |
| Contract fulfillment costs               | 25,214,613                                   | 19,569,789        | 6,817,173        | 132,810          |
|                                          | <u>28,646,208</u>                            | <u>22,802,348</u> | <u>8,077,980</u> | <u>152,193</u>   |

- (a) The incremental costs of obtaining contracts primarily comprise sales commission paid to sales contract for the Group's property development activities. These contract costs are amortised over the period in which the related revenue is recognised.
- (b) The contract fulfillment costs represent land and related development costs that are attributable to the property unit sold. These costs are amortised to profit or loss when the related revenue is recognised.
- (c) The amortisation charges recognised in profit or loss are as below:-

|                                          | <b>&lt;----- Audited -----&gt;</b>           |                  |                   |                  |
|------------------------------------------|----------------------------------------------|------------------|-------------------|------------------|
|                                          | <b>&lt;----- As at 31 December -----&gt;</b> |                  |                   | <b>As at 31</b>  |
|                                          | <b>2022</b>                                  | <b>2023</b>      | <b>2024</b>       | <b>July 2025</b> |
|                                          | <b>RM</b>                                    | <b>RM</b>        | <b>RM</b>         | <b>RM</b>        |
| Incremental costs of obtaining contracts | 1,479,956                                    | 1,774,323        | 3,542,024         | 1,280,507        |
| Contract fulfillment costs               | 7,428,859                                    | 7,914,858        | 16,741,087        | 6,693,482        |
|                                          | <u>8,908,815</u>                             | <u>9,689,181</u> | <u>20,283,111</u> | <u>7,973,989</u> |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****10. TRADE RECEIVABLES**

|                                   | <b>&lt;----- Audited -----&gt;</b>           |                  |                  |                   |
|-----------------------------------|----------------------------------------------|------------------|------------------|-------------------|
|                                   | <b>&lt;----- As at 31 December -----&gt;</b> |                  |                  | <b>As at 31</b>   |
|                                   | <b>2022</b>                                  | <b>2023</b>      | <b>2024</b>      | <b>July 2025</b>  |
|                                   | <b>RM</b>                                    | <b>RM</b>        | <b>RM</b>        | <b>RM</b>         |
| Trade receivables                 | 5,130,376                                    | 7,557,625        | 4,493,478        | 11,394,186        |
| Allowance for impairment losses   | -                                            | -                | (570,492)        | (440,300)         |
|                                   | <u>5,130,376</u>                             | <u>7,557,625</u> | <u>3,922,986</u> | <u>10,953,886</u> |
| Allowance for impairment losses:- |                                              |                  |                  |                   |
| At 1 January                      | -                                            | -                | -                | (570,492)         |
| Addition during the year/period   | -                                            | -                | (570,492)        | -                 |
| Reversal during the year/period   | -                                            | -                | -                | 130,192           |
| At 31 December/31 July            | <u>-</u>                                     | <u>-</u>         | <u>(570,492)</u> | <u>(440,300)</u>  |

- (a) Included in the Group's trade receivables are retention sums of RM9,584,539 (31.12.2024 - RM583,905, 31.12.2023 - Nil and 31.12.2022 - Nil) which are expected to be recovered in year 2026 (31.12.2024 - 2026, 31.12.2023 - Nil and 31.12.2022 - Nil).
- (b) The Group's normal trade credit terms range from 14 to 30 (31.12.2024 - 14 to 30, 31.12.2023 - 14 to 30 and 31.12.2022 - 30 to 90) days. Other credit terms are assessed and approved on a case-by-case basis.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****11. OTHER RECEIVABLES, DEPOSITS AND PREPAYMENTS**

|                   | <----- Audited ----->           |                   |                   |                   |
|-------------------|---------------------------------|-------------------|-------------------|-------------------|
|                   | <----- As at 31 December -----> |                   |                   | As at 31          |
|                   | 2022                            | 2023              | 2024              | July 2025         |
|                   | RM                              | RM                | RM                | RM                |
| Other receivables | 313,435                         | 20,428,392        | 13,125,022        | 1,615,139         |
| Deposits          | 1,114,871                       | 1,350,665         | 17,322,820        | 15,286,218        |
| Prepayments       | 19,760                          | 68,880            | 566,397           | 1,298,920         |
|                   | <u>1,448,066</u>                | <u>21,847,937</u> | <u>31,014,239</u> | <u>18,200,277</u> |

- (a) Included in other receivables were advance payments to a related party amounting to RM1,303,669 (31.12.2024 - RM13,074,700, 31.12.2023 - RM20,159,832 and 31.12.2022 - Nil). The amount is unsecured and interest-free. The amount owing will be offset against future performance of service from the related party.
- (b) Included in deposits of the Group is RM12,500,000 (31.12.2024 - RM12,500,000, 31.12.2023 - Nil and 31.12.2022 - Nil) paid to a related party as part of the entitlement for the project land pursuant to Joint Development Agreement. The project land has been pledged to a licensed bank as security for banking facilities granted to the Group as disclosed in Note 18 to the consolidated financial statements.
- (c) In FYE 2024, included in deposits of the Group was deposit paid for acquisition of land held for property development of RM2,000,000.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****12. CONTRACT ASSETS/(LIABILITIES)**

|                                                        | <b>&lt;----- Audited -----&gt;</b>           |               |              |                  |
|--------------------------------------------------------|----------------------------------------------|---------------|--------------|------------------|
|                                                        | <b>&lt;----- As at 31 December -----&gt;</b> |               |              | <b>As at 31</b>  |
|                                                        | <b>2022</b>                                  | <b>2023</b>   | <b>2024</b>  | <b>July 2025</b> |
|                                                        | <b>RM</b>                                    | <b>RM</b>     | <b>RM</b>    | <b>RM</b>        |
| At 1 January                                           | 25,180,907                                   | 14,901,896    | (29,868,331) | (1,812,974)      |
| Revenue recognised during the financial year/period    | 52,931,108                                   | 65,092,484    | 117,648,930  | 48,020,274       |
| Billings to customers during the financial year/period | (63,210,119)                                 | (109,862,711) | (89,593,573) | (46,726,931)     |
| At 31 December/31 July                                 | 14,901,896                                   | (29,868,331)  | (1,812,974)  | (519,631)        |
| Analysed by:-                                          |                                              |               |              |                  |
| Contract assets                                        | 24,370,911                                   | 10,552,479    | 20,957,536   | 491,068          |
| Contract liabilities                                   | (9,469,015)                                  | (40,420,810)  | (22,770,510) | (1,010,699)      |
|                                                        | 14,901,896                                   | (29,868,331)  | (1,812,974)  | (519,631)        |

- (a) The contract assets primarily relate to the Group's right to consideration for property development work completed but not yet billed as at the reporting date.
- (b) The contract liabilities primarily relate to advance consideration received from customers of which the revenue will be recognised overtime during the development of properties sold.
- (c) Revenue expected to be recognised in the future relating to performance obligations that are partially or unsatisfied as at the reporting date are summarised below:-

|                      | <b>&lt;----- Audited -----&gt;</b>           |             |             |                  |
|----------------------|----------------------------------------------|-------------|-------------|------------------|
|                      | <b>&lt;----- As at 31 December -----&gt;</b> |             |             | <b>As at 31</b>  |
|                      | <b>2022</b>                                  | <b>2023</b> | <b>2024</b> | <b>July 2025</b> |
|                      | <b>RM</b>                                    | <b>RM</b>   | <b>RM</b>   | <b>RM</b>        |
| Within 1 year        | 36,000,356                                   | 71,890,442  | 49,355,862  | 1,094,896        |
| Between 2 to 5 years | 216,068,319                                  | 36,689,725  | -           | -                |
|                      | 252,068,675                                  | 108,580,167 | 49,355,862  | 1,094,896        |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****13. FIXED DEPOSITS WITH LICENSED BANKS**

- (a) The effective interest rates of fixed deposits at the end of the reporting periods were as follows:-

|                          | <----- Audited ----->           |              |              |              |
|--------------------------|---------------------------------|--------------|--------------|--------------|
|                          | <----- As at 31 December -----> |              |              | As at 31     |
|                          | 2022                            | 2023         | 2024         | July 2025    |
|                          | %                               | %            | %            | %            |
| Effective interest rates | 1.75                            | 2.55 to 2.80 | 2.30 to 2.60 | 1.90 to 2.60 |

- (b) The maturity period of fixed deposits at the end of the reporting periods were as follows:-

|                 | <----- Audited ----->           |         |       |           |
|-----------------|---------------------------------|---------|-------|-----------|
|                 | <----- As at 31 December -----> |         |       | As at 31  |
|                 | 2022                            | 2023    | 2024  | July 2025 |
|                 | Month                           | Month   | Month | Month     |
| Maturity period | 12                              | 1 to 12 | 12    | 12        |

- (c) The fixed deposits pledged as security for banking facilities granted to the Group at the end of the reporting period were as follows:-

|                                          | <----- Audited ----->           |         |           |           |
|------------------------------------------|---------------------------------|---------|-----------|-----------|
|                                          | <----- As at 31 December -----> |         |           | As at 31  |
|                                          | 2022                            | 2023    | 2024      | July 2025 |
|                                          | RM                              | RM      | RM        | RM        |
| Fixed deposits pledged (Notes 18 and 26) | 1,034,768                       | 631,029 | 1,726,971 | 2,364,167 |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****14. CASH AND BANK BALANCES**

|                                              | <----- Audited ----->           |                   |                  |                  |
|----------------------------------------------|---------------------------------|-------------------|------------------|------------------|
|                                              | <----- As at 31 December -----> |                   |                  | As at 31         |
|                                              | 2022                            | 2023              | 2024             | July 2025        |
|                                              | RM                              | RM                | RM               | RM               |
| Cash in hand                                 | 39,099                          | 47,233            | 125,522          | 140,519          |
| Bank balances                                | 1,441,843                       | 9,535,829         | 3,678,563        | 1,209,701        |
| Cash held under housing development accounts | 910,219                         | 3,012,785         | 507,081          | 223,363          |
|                                              | <u>2,391,161</u>                | <u>12,595,847</u> | <u>4,311,166</u> | <u>1,573,583</u> |

Cash held under housing development account is held pursuant to Section 7A of the Housing Development (Control and Licensing) Act, 1966 as amended by the Housing Developers (Housing Development Account) (Amendment) Regulation, 2022. The amount is held at call with banks and is available only to the subsidiaries involved in the property development activities.



**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****16. LEASE LIABILITIES**

|                                                    | <b>&lt;----- Audited -----&gt;</b>           |             |             |                  |
|----------------------------------------------------|----------------------------------------------|-------------|-------------|------------------|
|                                                    | <b>&lt;----- As at 31 December -----&gt;</b> |             |             | <b>As at 31</b>  |
|                                                    | <b>2022</b>                                  | <b>2023</b> | <b>2024</b> | <b>July 2025</b> |
|                                                    | <b>RM</b>                                    | <b>RM</b>   | <b>RM</b>   | <b>RM</b>        |
| At 1 January                                       | 601,933                                      | 1,025,833   | 732,225     | 321,799          |
| Additions during the financial year/period         | 32,669                                       | 40,833      | -           | -                |
| Interest expenses recognised in profit or loss     | 28,388                                       | 52,174      | 41,136      | 9,441            |
| Changes due to reassessment/modification of leases | 901,543                                      | 225,226     | 250,530     | 94,391           |
| Repayment of principal                             | (510,312)                                    | (559,667)   | (660,956)   | (205,113)        |
| Repayment of interest expenses                     | (28,388)                                     | (52,174)    | (41,136)    | (9,441)          |
| At 31 December/31 July                             | 1,025,833                                    | 732,225     | 321,799     | 211,077          |
| Analysed by:-                                      |                                              |             |             |                  |
| Current liabilities                                | 465,140                                      | 610,471     | 138,911     | 168,048          |
| Non-current liabilities                            | 560,693                                      | 121,754     | 182,888     | 43,029           |
|                                                    | 1,025,833                                    | 732,225     | 321,799     | 211,077          |

**17. LONG-TERM BORROWINGS**

|                                  | <b>&lt;----- Audited -----&gt;</b>           |             |             |                  |
|----------------------------------|----------------------------------------------|-------------|-------------|------------------|
|                                  | <b>&lt;----- As at 31 December -----&gt;</b> |             |             | <b>As at 31</b>  |
|                                  | <b>2022</b>                                  | <b>2023</b> | <b>2024</b> | <b>July 2025</b> |
|                                  | <b>RM</b>                                    | <b>RM</b>   | <b>RM</b>   | <b>RM</b>        |
| Term loans (Note 18)             | 5,467,297                                    | 10,976,908  | 23,388,591  | 39,994,072       |
| Hire purchase payables (Note 19) | -                                            | 1,498,788   | 1,393,911   | 1,344,767        |
|                                  | 5,467,297                                    | 12,475,696  | 24,782,502  | 41,338,839       |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****18. TERM LOANS (SECURED)**

|                                      | <b>&lt;----- Audited -----&gt;</b>           |                   |                   |                   |
|--------------------------------------|----------------------------------------------|-------------------|-------------------|-------------------|
|                                      | <b>&lt;----- As at 31 December -----&gt;</b> |                   |                   | <b>As at 31</b>   |
|                                      | <b>2022</b>                                  | <b>2023</b>       | <b>2024</b>       | <b>July 2025</b>  |
|                                      | <b>RM</b>                                    | <b>RM</b>         | <b>RM</b>         | <b>RM</b>         |
| Current liabilities<br>(Note 24)     | 3,414,196                                    | 194,707           | 740,294           | 2,431,303         |
| Non-current<br>liabilities (Note 17) | 5,467,297                                    | 10,976,908        | 23,388,591        | 39,994,072        |
|                                      | <u>8,881,493</u>                             | <u>11,171,615</u> | <u>24,128,885</u> | <u>42,425,375</u> |

- (a) The effective interest rates of term loans at the end of the reporting periods were as follows:-

|                                | <b>&lt;----- Audited -----&gt;</b>           |              |              |                  |
|--------------------------------|----------------------------------------------|--------------|--------------|------------------|
|                                | <b>&lt;----- As at 31 December -----&gt;</b> |              |              | <b>As at 31</b>  |
|                                | <b>2022</b>                                  | <b>2023</b>  | <b>2024</b>  | <b>July 2025</b> |
|                                | <b>%</b>                                     | <b>%</b>     | <b>%</b>     | <b>%</b>         |
| Effective<br>interest<br>rates | 6.95 to 7.45                                 | 6.70 to 7.45 | 5.65 to 7.45 | 5.65 to 7.30     |

- (b) The term loans of the Group are secured by:
- (i) a first party fixed legal charge over the leasehold land of the Group as disclosed in Note 4 to the consolidated financial statements;
  - (ii) a first party fixed legal charge over the freehold land purchased by the Company as disclosed in Note 5 to the consolidated financial statements;
  - (iii) a first party legal charge over the leasehold land purchased by the Group as disclosed in Note 7 to the consolidated financial statements;
  - (iv) a third party first legal charge over the project land as disclosed in Note 11(b) to the consolidated financial statements;
  - (v) specific debenture over fixed and floating assets both present and future;
  - (vi) specific debentures over the project;
  - (vii) first party pledged of fixed deposit as disclosed in Note 13(c) to the consolidated financial statements;
  - (viii) Joint and several guarantees by certain directors of the Company; and
  - (ix) Corporate guarantees provided by the Company and a related party.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****19. HIRE PURCHASE PAYABLES (SECURED)**

|                                                    | <b>&lt;----- Audited -----&gt;</b>           |             |             |                  |
|----------------------------------------------------|----------------------------------------------|-------------|-------------|------------------|
|                                                    | <b>&lt;----- As at 31 December -----&gt;</b> |             |             | <b>As at 31</b>  |
|                                                    | <b>2022</b>                                  | <b>2023</b> | <b>2024</b> | <b>July 2025</b> |
|                                                    | <b>RM</b>                                    | <b>RM</b>   | <b>RM</b>   | <b>RM</b>        |
| Minimum hire purchase payments:                    |                                              |             |             |                  |
| - not later than one year                          | -                                            | 348,406     | 401,328     | 458,143          |
| - later than one year and not later than five year | -                                            | 1,651,868   | 1,498,948   | 1,434,777        |
|                                                    | -                                            | 2,000,274   | 1,900,276   | 1,892,920        |
| Less: Future finance charges                       | -                                            | (231,254)   | (179,921)   | (157,509)        |
| Present value of hire purchase payables            | -                                            | 1,769,020   | 1,720,355   | 1,735,411        |
| Analysed by:-                                      |                                              |             |             |                  |
| Current liabilities (Note 24)                      | -                                            | 270,232     | 326,444     | 390,644          |
| Non-current liabilities (Note 17)                  | -                                            | 1,498,788   | 1,393,911   | 1,344,767        |
|                                                    | -                                            | 1,769,020   | 1,720,355   | 1,735,411        |

- (a) The effective interest rates of hire purchase payables at the end of the reporting periods were as follows:-

|               | <b>Effective Interest Rates</b>              |              |              |                  |
|---------------|----------------------------------------------|--------------|--------------|------------------|
|               | <b>&lt;----- Audited -----&gt;</b>           |              |              |                  |
|               | <b>&lt;----- As at 31 December -----&gt;</b> |              |              | <b>As at 31</b>  |
|               | <b>2022</b>                                  | <b>2023</b>  | <b>2024</b>  | <b>July 2025</b> |
|               | <b>%</b>                                     | <b>%</b>     | <b>%</b>     | <b>%</b>         |
| Fixed rate    | -                                            | -            | 4.52         | 4.17 to 4.52     |
| Floating rate | -                                            | 4.55 to 4.67 | 4.55 to 4.67 | 4.30 to 4.42     |
|               | -                                            | 1,769,020    | 1,496,868    | 1,331,823        |
|               | -                                            | 1,769,020    | 1,720,355    | 1,735,411        |

|               | <b>&lt;----- Audited -----&gt;</b>           |             |             |                  |
|---------------|----------------------------------------------|-------------|-------------|------------------|
|               | <b>&lt;----- As at 31 December -----&gt;</b> |             |             | <b>As at 31</b>  |
|               | <b>2022</b>                                  | <b>2023</b> | <b>2024</b> | <b>July 2025</b> |
|               | <b>RM</b>                                    | <b>RM</b>   | <b>RM</b>   | <b>RM</b>        |
| Fixed rate    | -                                            | -           | 223,487     | 403,588          |
| Floating rate | -                                            | 1,769,020   | 1,496,868   | 1,331,823        |
|               | -                                            | 1,769,020   | 1,720,355   | 1,735,411        |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****19. HIRE PURCHASE PAYABLES (SECURED) (CONT'D)**

(b) The hire purchase payables of the Group are secured by:-

- (i) property, plant and equipment as disclosed in Note 4 to the consolidated financial statements; and
- (ii) joint guarantee by the certain directors of the Company.

**20. TRADE PAYABLES**

|                |      | <----- Audited ----->           |                  |                  |                  |
|----------------|------|---------------------------------|------------------|------------------|------------------|
|                |      | <----- As at 31 December -----> |                  |                  | As at 31         |
|                | Note | 2022                            | 2023             | 2024             | July 2025        |
|                |      | RM                              | RM               | RM               | RM               |
| Trade payables | (a)  | 6,673,890                       | 3,035,274        | 3,841,304        | 4,147,693        |
| Retention sums | (b)  | 337,360                         | 118,502          | 118,502          | 117,437          |
|                |      | <u>7,011,250</u>                | <u>3,153,776</u> | <u>3,959,806</u> | <u>4,265,130</u> |

- (a) The normal trade credit terms granted to the Group range from 30 to 60 (31.12.2024 - 30 to 60, 31.12.2023 - 30 to 60 and 31.12.2022 - 30 to 60) days.
- (b) The retention sums are expected to be settled in year 2025 to 2027 (31.12.2024 - 2025 to 2027, 31.12.2023 - 2025 to 2027 and 31.12.2022 - 2023 to 2026).

**21. OTHER PAYABLES AND ACCRUALS**

|                |  | <----- Audited ----->           |                  |                  |                  |
|----------------|--|---------------------------------|------------------|------------------|------------------|
|                |  | <----- As at 31 December -----> |                  |                  | As at 31         |
|                |  | 2022                            | 2023             | 2024             | July 2025        |
|                |  | RM                              | RM               | RM               | RM               |
| Other payables |  | 12,647,412                      | 1,281,061        | 310,261          | 3,524,288        |
| Retention sums |  | -                               | -                | -                | 257,919          |
| Accruals       |  | 6,258,519                       | 8,230,350        | 8,596,721        | 2,861,124        |
| Deposits       |  | 480,335                         | 281,315          | 265,450          | 14,150           |
|                |  | <u>19,386,266</u>               | <u>9,792,726</u> | <u>9,172,432</u> | <u>6,657,481</u> |

- (a) The retention sums are expected to be settled in year 2026 (31.12.2024 - Nil, 31.12.2023 - Nil and 31.12.2022 - Nil).

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****22. AMOUNT OWING TO RELATED PARTIES**

| <----- Audited ----->           |      |                   |                  |                   |                   |
|---------------------------------|------|-------------------|------------------|-------------------|-------------------|
| <----- As at 31 December -----> |      |                   |                  |                   | As at 31          |
|                                 |      | 2022              | 2023             | 2024              | July 2025         |
|                                 | Note | RM                | RM               | RM                | RM                |
| Trade                           |      |                   |                  |                   |                   |
| balances                        | (a)  | 8,244,473         | 1,195,706        | 202,601           | 3,174,078         |
| Retention                       |      |                   |                  |                   |                   |
| sums                            | (b)  | 309,485           | 3,284,170        | 9,606,367         | 10,981,414        |
|                                 |      | <u>8,553,958</u>  | <u>4,479,876</u> | <u>9,808,968</u>  | <u>14,155,492</u> |
| Non-trade                       |      |                   |                  |                   |                   |
| balances:                       |      |                   |                  |                   |                   |
| - Interest-free                 | (c)  | 4,618,009         | 96,000           | 28,260            | 103,500           |
| - Interest-bearing              | (d)  | -                 | 4,626,352        | 1,320,941         | -                 |
|                                 |      | <u>13,171,967</u> | <u>9,202,228</u> | <u>11,158,169</u> | <u>14,258,992</u> |

- (a) The normal trade credit terms granted to the Group is 30 (31.12.2024 - 30, 31.12.2023 - 30 to 90 and 31.12.2022 - 30 to 90) days.
- (b) The retention sums are expected to be settled in year 2025 to 2027 (31.12.2024 - 2025 to 2027, 31.12.2023 - 2025 to 2027 and 31.12.2022 - 2026).
- (c) The non-trade balances represented unsecured interest-free advances which were repayable on demand. The amount owing is to be settled in cash.
- (d) The non-trade balances represent interest-bearing advances which bore an effective interest rate of 10% (31.12.2024 - 10%, 31.12.2023 - 10% and 31.12.2022 - Nil) per annum. The amount owing is to be settled in cash.

**23. AMOUNT OWING TO DIRECTORS**

The amount owing are advances and unsecured payments made on behalf, interest-free and repayable on demand. The amount owing is to be settled in cash.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****24. SHORT-TERM BORROWINGS**

|                                     | <b>&lt;----- Audited -----&gt;</b>           |                  |                  |                  |
|-------------------------------------|----------------------------------------------|------------------|------------------|------------------|
|                                     | <b>&lt;----- As at 31 December -----&gt;</b> |                  |                  | <b>As at 31</b>  |
|                                     | <b>2022</b>                                  | <b>2023</b>      | <b>2024</b>      | <b>July 2025</b> |
|                                     | <b>RM</b>                                    | <b>RM</b>        | <b>RM</b>        | <b>RM</b>        |
| Promissory notes<br>(Note 25)       | -                                            | 863,254          | 927,711          | 825,427          |
| Term loans<br>(Note 18)             | 3,414,196                                    | 194,707          | 740,294          | 2,431,303        |
| Hire purchase<br>payables (Note 19) | -                                            | 270,232          | 326,444          | 390,644          |
|                                     | <b>3,414,196</b>                             | <b>1,328,193</b> | <b>1,994,449</b> | <b>3,647,374</b> |

**25. PROMISSORY NOTES**

The promissory notes of the Group at the end of the reporting period bore an effective interest rates ranging from 4.98% to 5.38% (31.12.2024 - 5.50% to 5.61%, 31.12.2023 - 5.72% to 5.75% and 31.12.2022 - Nil) per annum. The interest rates are fixed at the inception of the promissory notes agreements.

The promissory notes are secured by:-

- (i) a first party legal charge over the Group's property, plant and equipment as disclosed in Note 4 to the consolidated financial statements;
- (ii) in FYE 2023, a first party legal charge over the Group's inventories as disclosed in Note 7 to the consolidated financial statements;
- (iii) a corporate guarantee by the Company; and
- (iv) joint and several guarantees by certain directors of the Company.

---

**14. ACCOUNTANTS' REPORT (CONT'D)**

---

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**26. BANK OVERDRAFTS**

- (a) The bank overdrafts of the Group are secured by:-
- (i) a first party legal charge over the Group's property, plant and equipment as disclosed in Note 4 to the consolidated financial statements;
  - (ii) a first party legal charge over the leasehold land purchased by the Group as disclosed in Note 7 to the consolidated financial statements;
  - (iii) specific debentures over fixed and floating assets both present and future;
  - (iv) first party pledged of fixed deposit as disclosed in Note 13(c) to the consolidated financial statements;
  - (v) Joint and several guarantees by certain directors of the Company; and
  - (vi) Corporate guarantees provided by the Company and a related party.
- (b) The bank overdrafts of the Group at the end of the reporting period bore floating interest rates of 7.95% (31.12.2024 - Nil, 31.12.2023 - Nil and 31.12.2022 - Nil) per annum.

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**27. REVENUE**

|                                              | <----- Audited -----><br><----- FYE 31 December-----> |                   |                    | Unaudited         | Audited           |
|----------------------------------------------|-------------------------------------------------------|-------------------|--------------------|-------------------|-------------------|
|                                              | 2022                                                  | 2023              | 2024               | 1.1.2024 to       | 1.1.2025 to       |
|                                              | RM                                                    | RM                | RM                 | 31.7.2024         | 31.7.2025         |
|                                              |                                                       |                   |                    | RM                | RM                |
| <b>Revenue from Contracts with Customers</b> |                                                       |                   |                    |                   |                   |
| <u>Recognised over time</u>                  |                                                       |                   |                    |                   |                   |
| Sales of properties under construction       | 52,931,108                                            | 65,092,484        | 117,648,930        | 83,479,155        | 48,020,274        |
| <u>Recognised at a point in time</u>         |                                                       |                   |                    |                   |                   |
| Sales of completed properties                | -                                                     | -                 | -                  | -                 | 1,573,207         |
|                                              | <u>52,931,108</u>                                     | <u>65,092,484</u> | <u>117,648,930</u> | <u>83,479,155</u> | <u>49,593,481</u> |

(a) The revenue of the Group is derived entirely in Malaysia.

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**27. REVENUE (CONT'D)**

(b) The information about the performance obligations in contracts with customers is summarised below:-

| <u>Nature of Goods or Services</u>     | <u>Timing and Method of Revenue Recognition</u>                                                                                                                                                                                    | <u>Significant Payment Terms</u>                                                                                                                                                    | <u>Variable Considerations</u>                                                      | <u>Warranty and Obligation for Returns or Refunds</u>                                                                            |
|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| Sales of properties under construction | When services are rendered using the input method by reference to the property development cost incurred up to the end of the reporting period as a percentage of total estimated costs for complete satisfaction of the contract. | Based on agreed milestones certified by architects. The credit period is 14 to 30 days from the invoice date. Other credit terms are assessed and approved on a case-by-case basis. | Contract stipulates a predetermined rate for late penalty charges calculated daily. | Defect liability period of 12 or 24 months after the customers have taken possession of the property are given to the customers. |
| Sales of completed properties          | When the properties are delivered and accepted by the customers.                                                                                                                                                                   | Credit period of 30 days from the invoice date.                                                                                                                                     | Not applicable.                                                                     | Defect liability period is given to the customer until February 2027.                                                            |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 28. PROFIT BEFORE TAXATION

|                                                                    | <----- Audited -----><br><----- FYE 31 December-----> |           |           | Unaudited   | Audited     |
|--------------------------------------------------------------------|-------------------------------------------------------|-----------|-----------|-------------|-------------|
|                                                                    | 2022                                                  | 2023      | 2024      | 1.1.2024 to | 1.1.2025 to |
|                                                                    | RM                                                    | RM        | RM        | 31.7.2024   | 31.7.2025   |
|                                                                    |                                                       |           |           | RM          | RM          |
| Profit before taxation is arrived at after charging/(crediting):-  |                                                       |           |           |             |             |
| Auditors' remuneration                                             | 135,000                                               | 135,000   | 140,000   | 82,430      | 94,750      |
| Depreciation:                                                      |                                                       |           |           |             |             |
| - property, plant and equipment                                    | 28,965                                                | 494,964   | 541,412   | 306,278     | 345,217     |
| - investment property                                              | -                                                     | -         | 11,414    | 7,552       | 6,659       |
| - right-of-use assets                                              | 451,642                                               | 568,859   | 648,411   | 378,240     | 196,715     |
| Deposit written off                                                | -                                                     | -         | 200,000   | 200,000     | -           |
| Director's remuneration:                                           |                                                       |           |           |             |             |
| - salaries, bonuses and other benefits                             | 856,665                                               | 1,333,167 | 1,910,775 | 788,883     | 1,031,928   |
| - defined contribution plan                                        | 146,574                                               | 220,967   | 270,483   | 135,196     | 171,323     |
| Impairment loss on goodwill                                        | 181,812                                               | -         | -         | -           | -           |
| Impairment loss/(Reversal of impairment loss) on trade receivables | -                                                     | -         | 570,492   | -           | (130,192)   |
| Interest expense:                                                  |                                                       |           |           |             |             |
| - bank overdrafts                                                  | -                                                     | 3,062     | 990       | -           | 39,652      |
| - lease liabilities                                                | 28,388                                                | 52,174    | 41,136    | 28,162      | 9,441       |
| - term loans                                                       | 1,026,484                                             | 331,403   | 1,081,711 | 501,190     | 1,071,550   |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 28. PROFIT BEFORE TAXATION (CONT'D)

|                                                                            | <----- Audited -----><br><----- FYE 31 December-----> |           |           | Unaudited   | Audited     |
|----------------------------------------------------------------------------|-------------------------------------------------------|-----------|-----------|-------------|-------------|
|                                                                            | 2022                                                  | 2023      | 2024      | 1.1.2024 to | 1.1.2025 to |
|                                                                            | RM                                                    | RM        | RM        | 31.7.2024   | 31.7.2025   |
|                                                                            |                                                       |           |           | RM          | RM          |
| Profit before taxation is arrived at after charging/(crediting) (Cont'd):- |                                                       |           |           |             |             |
| Interest expense:                                                          |                                                       |           |           |             |             |
| - hire purchase payables                                                   | -                                                     | 86,475    | 79,607    | 44,785      | 46,058      |
| - promissory notes                                                         | -                                                     | 33,233    | 44,964    | 16,537      | 29,640      |
| - related parties                                                          | -                                                     | 1,271,227 | 392,631   | 392,631     | -           |
| - others                                                                   | 883,951                                               | 2,340,218 | 237,824   | 162,544     | 89,483      |
| Lease expenses:                                                            |                                                       |           |           |             |             |
| - low value asset                                                          | 1,680                                                 | 1,540     | 1,260     | 1,120       | -           |
| Staff cost:                                                                |                                                       |           |           |             |             |
| - salaries and other benefits                                              | 2,459,684                                             | 2,888,101 | 2,954,686 | 1,632,888   | 1,589,746   |
| - defined contribution plan                                                | 272,325                                               | 323,765   | 355,145   | 164,761     | 175,098     |
| - others                                                                   | -                                                     | 21,743    | -         | -           | -           |
| Bargain purchase on acquisition of a subsidiary (Note 31.1)                | -                                                     | -         | (144,983) | (144,983)   | -           |
| Deposit received forfeited                                                 | -                                                     | (500)     | (9,800)   | (9,800)     | -           |
| Interest income:                                                           |                                                       |           |           |             |             |
| - fixed deposits with licensed banks                                       | (7,789)                                               | (18,108)  | (133,689) | (114,317)   | (47,025)    |
| - bank balances                                                            | (4,228)                                               | (18,625)  | (69,778)  | (37,910)    | (92,719)    |
| - others                                                                   | (6,518)                                               | (70,521)  | (47,977)  | (36,336)    | (176)       |

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**29. INCOME TAX EXPENSE**

|                                                               | <----- Audited ----->        |                  |                  | Unaudited        | Audited          |
|---------------------------------------------------------------|------------------------------|------------------|------------------|------------------|------------------|
|                                                               | <----- FYE 31 December-----> |                  |                  | 1.1.2024 to      | 1.1.2025 to      |
|                                                               | 2022                         | 2023             | 2024             | 31.7.2024        | 31.7.2025        |
|                                                               | RM                           | RM               | RM               | RM               | RM               |
| Current tax:                                                  |                              |                  |                  |                  |                  |
| - for the financial year/period                               | 2,437,000                    | 3,587,509        | 6,613,349        | 4,223,428        | 3,481,391        |
| - under/(over)provision in the previous financial year/period | -                            | 755              | (99,948)         | (99,948)         | 175,055          |
|                                                               | <u>2,437,000</u>             | <u>3,588,264</u> | <u>6,513,401</u> | <u>4,123,480</u> | <u>3,656,446</u> |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 29. INCOME TAX EXPENSE (CONT'D)

A reconciliation of income tax expense applicable to the profit before taxation at the statutory tax rate to income tax expense at the effective tax rate of the Group is as follows:-

|                                                                            | <----- Audited -----><br><----- FYE 31 December-----> |            |            | Unaudited   | Audited     |
|----------------------------------------------------------------------------|-------------------------------------------------------|------------|------------|-------------|-------------|
|                                                                            | 2022                                                  | 2023       | 2024       | 1.1.2024 to | 1.1.2025 to |
|                                                                            | RM                                                    | RM         | RM         | 31.7.2024   | 31.7.2025   |
|                                                                            |                                                       |            |            | RM          | RM          |
| Profit before taxation                                                     | 8,949,521                                             | 11,475,877 | 20,376,211 | 14,402,596  | 10,889,049  |
| Tax at the statutory tax rate of 24%                                       | 2,147,885                                             | 2,754,210  | 4,890,291  | 3,456,623   | 2,613,372   |
| Tax effects of:-                                                           |                                                       |            |            |             |             |
| Non-deductible expenses                                                    | 725,023                                               | 1,029,139  | 500,254    | 127,685     | 345,539     |
| Non-taxable income                                                         | -                                                     | -          | (34,796)   | -           | -           |
| Utilisation of deferred tax assets previously not recognised               | (657,152)                                             | (732,960)  | (5,523)    | (2,640)     | (5,520)     |
| Deferred tax assets not recognised during the financial year/period        | 221,244                                               | 537,120    | 1,263,123  | 641,760     | 528,000     |
| Under/(Over)provision of current tax in the previous financial year/period | -                                                     | 755        | (99,948)   | (99,948)    | 175,055     |
|                                                                            | 2,437,000                                             | 3,588,264  | 6,513,401  | 4,123,480   | 3,656,446   |

Domestic income tax is calculated at the Malaysian statutory tax rate of 24% of the estimated assessable profit for the financial year/period.

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 29. INCOME TAX EXPENSE (CONT'D)

At the end of the reporting period, the amounts of deferred tax assets not recognised (stated at gross) due to uncertainty of their realisation are as follows:-

|                                                | <----- Audited -----><br><----- FYE 31 December-----> |                  |                  | Unaudited        | Audited           |
|------------------------------------------------|-------------------------------------------------------|------------------|------------------|------------------|-------------------|
|                                                | 2022                                                  | 2023             | 2024             | 1.1.2024 to      | 1.1.2025 to       |
|                                                | RM                                                    | RM               | RM               | 31.7.2024        | 31.7.2025         |
| Unused tax losses:                             |                                                       |                  |                  | RM               | RM                |
| - expiring in year of assessment 2029          | 493,000                                               | 493,000          | 493,000          | 493,000          | 493,000           |
| - expiring in year of assessment 2030          | 3,075,000                                             | 51,000           | 47,000           | 51,000           | 47,000            |
| - expiring in year of assessment 2031          | 223,000                                               | 239,000          | 239,000          | 239,000          | 239,000           |
| - expiring in year of assessment 2032          | 895,000                                               | 932,000          | 932,000          | 932,000          | 932,000           |
| - expiring in year of assessment 2033          | -                                                     | 1,673,000        | 1,673,000        | 1,673,000        | 1,673,000         |
| - expiring in year of assessment 2034          | -                                                     | -                | 5,667,000        | 2,674,000        | 5,667,000         |
| - expiring in year of assessment 2035          | -                                                     | -                | -                | -                | 2,200,000         |
| Excess of depreciation over capital allowances | 34,000                                                | 85,000           | 83,000           | 64,000           | 50,000            |
| Unabsorbed capital allowance                   | -                                                     | -                | 10,000           | 10,000           | 20,000            |
| Others                                         | -                                                     | 431,000          | -                | -                | -                 |
|                                                | <u>4,720,000</u>                                      | <u>3,904,000</u> | <u>9,144,000</u> | <u>6,136,000</u> | <u>11,321,000</u> |

Based on the current legislation, the unused tax losses are allowed to be utilised for 10 consecutive years of assessment immediately following that year of assessment; whereas, the unabsorbed capital allowances are allowed to be carried forward indefinitely.

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**30. EARNINGS PER SHARE**

|                                                     | <----- Audited -----><br><----- FYE 31 December-----> |            |            | Unaudited                | Audited                  |
|-----------------------------------------------------|-------------------------------------------------------|------------|------------|--------------------------|--------------------------|
|                                                     | 2022                                                  | 2023       | 2024       | 1.1.2024 to<br>31.7.2024 | 1.1.2025 to<br>31.7.2025 |
| Profit attributable to owners of the Company (RM)   | 5,593,471                                             | 6,511,013  | 10,921,590 | 7,539,373                | 7,102,817                |
| Weighted average number of ordinary shares in issue | 11,159,726                                            | 11,159,726 | 11,159,726 | 11,159,726               | 11,159,726               |
| Basic earnings per share (RM)                       | 0.50                                                  | 0.58       | 0.98       | 0.68                     | 0.64                     |

The Group has not issued any dilutive potential ordinary shares and hence, the diluted earnings per share is equal to the basic earnings per share.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****31. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS****31.1 ACQUISITION OF A SUBSIDIARY**

On 13 May 2024, the Company acquired 100% equity interest in JRK Property.

The following summarise the major classes of consideration transferred and the recognised amounts of assets acquired and liabilities assumed at the date of acquisition.

|                                                      | <b>31 December 2024</b> |
|------------------------------------------------------|-------------------------|
|                                                      | RM                      |
| Investment property                                  | 1,300,000               |
| Inventories                                          | 225,240                 |
| Deposits and prepayment                              | 781,893                 |
| Current tax assets                                   | 41,723                  |
| Fixed deposit with a licensed bank                   | 93,312                  |
| Bank balances                                        | 158,389                 |
| Term loans                                           | (437,804)               |
| Trade payable                                        | (90)                    |
| Other payables and accruals                          | (227,954)               |
| Amount owing to related parties                      | (996,286)               |
| Amount owing to a director                           | (674,609)               |
|                                                      | <hr/>                   |
| Fair value of net identifiable assets acquired       | 263,814                 |
| Less: Bargain purchase on acquisition                | (144,983)               |
|                                                      | <hr/>                   |
| Total purchase consideration, to be settled by cash  | 118,831                 |
| Add: Cash and bank balances of subsidiary acquired   | (158,389)               |
|                                                      | <hr/>                   |
| Net cash inflow from the acquisition of a subsidiary | (39,558)                |
|                                                      | <hr/>                   |

In FYE 2024, the subsidiary has contributed loss after taxation of RM263,704 to the Group since the date of acquisition.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****31. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS (CONT'D)****31.2 ACQUISITION OF NON-CONTROLLING INTERESTS**

- (a) On 18 April 2023, the Company acquired an additional 6% equity interests in Buana Perdana for a total cash consideration of RM2,000,000, increasing its ownership from 90% to 96%. The carrying amount of Buana Perdana's net assets in the Group's financial statements on that date was RM17,329,521. The Group recognised a decrease in non-controlling interests of RM834,101 and a decrease in retained profits of RM1,165,899.

The following summarises the effect of changes in the equity interests in Buana Perdana that is attributable to the owners of the Company:-

|                                                        | <b>31 December<br/>2023<br/>RM</b> |
|--------------------------------------------------------|------------------------------------|
| Equity interest on 1 January                           | 14,061,192                         |
| Effect of increase in the Company's ownership interest | 834,101                            |
| Subscription of ordinary shares in the subsidiary      | 2,000,000                          |
| Share of post acquisition profits                      | 11,997,291                         |
| Equity interest at 31 December                         | <u>28,892,584</u>                  |

- (b) On 8 April 2024, the Company has acquired an additional 30% equity interest in Twinwood Development for a total cash consideration of RM2,000,000, increasing its ownership from 60% to 90%. With the remaining 10% held by JRK Land, Twinwood Development became a wholly-owned subsidiary of the Company. The carrying amount of Twinwood Development's net assets in the Group's financial statements on that date was RM6,721,389. The Group recognised a decrease in non-controlling interest of RM2,016,417 and an increase in retained profits of RM16,417.

The following summarises the effect of changes in the equity interest of non-controlling interest in Twinwood Development:-

|                                                            | <b>31 December<br/>2024<br/>RM</b> |
|------------------------------------------------------------|------------------------------------|
| Equity interest of non-controlling interest at 1 January   | (427,398)                          |
| Effect of increase in the Company's ownership interest     | (2,016,417)                        |
| Share of post acquisition profits                          | 2,443,815                          |
| Equity interest of non-controlling interest at 31 December | <u>-</u>                           |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****31. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS (CONT'D)****31.2 ACQUISITION OF NON-CONTROLLING INTERESTS (CONT'D)**

- (c) On 24 April 2025, the Company has acquired an additional 4% equity interest in Buana Perdana for a total cash consideration of RM2,500,000, increasing its ownership from 96% to 100%. The carrying amount of Buana Perdana's net assets in the Group's financial statements on that date was RM42,875,620. The Group recognised a decrease in non-controlling interests of RM1,722,080 and a decrease in retained profits of RM777,920.

The following summarises the effect of changes in the equity interest of non-controlling interest in Buana Perdana:-

|                                                          | <b>31 July 2025</b><br>RM |
|----------------------------------------------------------|---------------------------|
| Equity interest of non-controlling interest at 1 January | 1,586,875                 |
| Effect of increase in the Company's ownership interest   | (1,722,080)               |
| Share of post acquisition profits                        | 135,205                   |
|                                                          | <hr/>                     |
| Equity interest of non-controlling interest at 31 July   | -                         |

- (d) On 24 April 2025, the Company has acquired an additional 40% equity interest in JRK Estate for a total cash consideration of RM800,000, increasing its ownership from 60% to 100%. The carrying amount of JRK Estate's net assets in the Group's financial statements on that date was RM1,937,113. The Group recognised a decrease in non-controlling interests of RM774,845 and a decrease in retained profits of RM25,155.

The following summarises the effect of changes in the equity interest of non-controlling interest in JRK Estate:-

|                                                          | <b>31 July 2025</b><br>RM |
|----------------------------------------------------------|---------------------------|
| Equity interest of non-controlling interest at 1 January | 778,378                   |
| Effect of increase in the Company's ownership interest   | (774,845)                 |
| Share of post acquisition losses                         | (3,533)                   |
|                                                          | <hr/>                     |
| Equity interest of non-controlling interest at 31 July   | -                         |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****31. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS (CONT'D)****31.2 ACQUISITION OF NON-CONTROLLING INTERESTS (CONT'D)**

- (e) On 30 July 2025, the Company has acquired an additional 30% equity interest in JRK Capital for a total cash consideration of RM3, increasing its ownership from 70% to 100%. The carrying amount of JRK Capital's net liabilities in the Group's financial statements on that date was RM53,840. The Group recognised an increase in non-controlling interests of RM16,152 and a decrease in retained profits of RM16,155.

The following summarises the effect of changes in the equity interest of non-controlling interest in JRK Capital:-

|                                                          | <b>31 July 2025</b> |
|----------------------------------------------------------|---------------------|
|                                                          | RM                  |
| Equity interest of non-controlling interest at 1 January | (14,266)            |
| Effect of increase in the Company's ownership interest   | 16,152              |
| Share of post acquisition losses                         | (1,886)             |
|                                                          | <hr/>               |
| Equity interest of non-controlling interest at 31 July   | -                   |
|                                                          | <hr/>               |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 32. DIVIDEND

|                                                                                                                | <----- Audited -----><br><----- FYE 31 December-----> |      |      | Unaudited   | Audited     |
|----------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|------|------|-------------|-------------|
|                                                                                                                | 2022                                                  | 2023 | 2024 | 1.1.2024 to | 1.1.2025 to |
|                                                                                                                | RM                                                    | RM   | RM   | 31.7.2024   | 31.7.2025   |
|                                                                                                                |                                                       |      |      | RM          | RM          |
| First interim dividend of approximately RM1.34 per ordinary share in respect of the financial year ending 2025 | -                                                     | -    | -    | -           | 14,999,788  |

### 33. CASH FLOW INFORMATION

(a) The cash disbursed for the purchase of property, plant and equipment and the addition of right-of-use assets is as follows:-

|                                                                | <----- Audited -----><br><----- FYE 31 December-----> |             |           | Unaudited   | Audited     |
|----------------------------------------------------------------|-------------------------------------------------------|-------------|-----------|-------------|-------------|
|                                                                | 2022                                                  | 2023        | 2024      | 1.1.2024 to | 1.1.2025 to |
|                                                                | RM                                                    | RM          | RM        | 31.7.2024   | 31.7.2025   |
|                                                                |                                                       |             |           | RM          | RM          |
| <b>Property, plant and equipment</b>                           |                                                       |             |           |             |             |
| Cost of property, plant and equipment (Note 4)                 | 122,907                                               | 2,388,028   | 305,201   | 178,620     | 3,258,097   |
| Less: Acquired through hire purchase arrangements (Note 33(b)) | -                                                     | (2,082,124) | (237,600) | -           | (215,000)   |
|                                                                | 122,907                                               | 305,904     | 67,601    | 178,620     | 3,043,097   |

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**33. CASH FLOW INFORMATION (CONT'D)**

(a) The cash disbursed for the purchase of property, plant and equipment and the addition of right-of-use assets is as follows (Cont'd):-

|                                                                                 | <----- Audited -----><br><----- FYE 31 December-----> |           |           | Unaudited   | Audited     |
|---------------------------------------------------------------------------------|-------------------------------------------------------|-----------|-----------|-------------|-------------|
|                                                                                 | 2022                                                  | 2023      | 2024      | 1.1.2024 to | 1.1.2025 to |
|                                                                                 | RM                                                    | RM        | RM        | 31.7.2024   | 31.7.2025   |
|                                                                                 |                                                       |           |           | RM          | RM          |
| <b>Right-of-use assets</b>                                                      |                                                       |           |           |             |             |
| Cost of right-of-use assets acquired (Note 6)                                   | 934,212                                               | 266,059   | 250,530   | 218,931     | 94,391      |
| Less: Additions of new lease liabilities (Note 16)                              | (32,669)                                              | (40,833)  | -         | -           | -           |
| Less: Changes on lease reassessment/modification of lease liabilities (Note 16) | (901,543)                                             | (225,226) | (250,530) | (218,931)   | (94,391)    |
|                                                                                 | <u>-</u>                                              | <u>-</u>  | <u>-</u>  | <u>-</u>    | <u>-</u>    |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 33. CASH FLOW INFORMATION (CONT'D)

(b) The reconciliations of liabilities arising from financing activities are as follows:-

|                                               | Amount<br>Owing to<br>Directors<br>RM | Term<br>Loans<br>RM | Lease<br>Liabilities<br>RM | Total<br>RM  |
|-----------------------------------------------|---------------------------------------|---------------------|----------------------------|--------------|
| <b>Audited</b>                                |                                       |                     |                            |              |
| <b>31 December 2022</b>                       |                                       |                     |                            |              |
| At 1 January 2022                             | 2,984,542                             | 23,884,361          | 601,933                    | 27,470,836   |
| <u>Changes in Financing Cash Flows</u>        |                                       |                     |                            |              |
| Advances received                             | 4,925,000                             | -                   | -                          | 4,925,000    |
| Repayment of principal                        | (2,306,295)                           | (15,060,594)        | (510,312)                  | (17,877,201) |
| Repayment of interests                        | -                                     | (968,758)           | (28,388)                   | (997,146)    |
|                                               | 2,618,705                             | (16,029,352)        | (538,700)                  | (13,949,347) |
| <u>Other Changes</u>                          |                                       |                     |                            |              |
| Acquisition of new lease                      | -                                     | -                   | 32,669                     | 32,669       |
| Changes due to lease modification             | -                                     | -                   | 901,543                    | 901,543      |
| Interest expense recognised in profit or loss | -                                     | 1,026,484           | 28,388                     | 1,054,872    |
|                                               | -                                     | 1,026,484           | 962,600                    | 1,989,084    |
| At 31 December 2022                           | 5,603,247                             | 8,881,493           | 1,025,833                  | 15,510,573   |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 33. CASH FLOW INFORMATION (CONT'D)

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

|                                                              | Amount Owing<br>to Directors<br>RM | Amount Owing<br>to Related<br>Parties<br>RM | Hire Purchase<br>Payables<br>RM | Promissory<br>Notes<br>RM | Term<br>Loans<br>RM | Lease<br>Liabilities<br>RM | Total<br>RM  |
|--------------------------------------------------------------|------------------------------------|---------------------------------------------|---------------------------------|---------------------------|---------------------|----------------------------|--------------|
| <b>Audited<br/>31 December 2023</b>                          |                                    |                                             |                                 |                           |                     |                            |              |
| At 1 January 2023                                            | 5,603,247                          | -                                           | -                               | -                         | 8,881,493           | 1,025,833                  | 15,510,573   |
| <u>Changes in Financing Cash Flows</u>                       |                                    |                                             |                                 |                           |                     |                            |              |
| Repayment of principal                                       | (9,482,178)                        | (2,374,227)                                 | (313,104)                       | (2,637,847)               | (8,979,878)         | (559,667)                  | (24,346,901) |
| Repayment of interests                                       | -                                  | (475,453)                                   | (86,475)                        | (33,233)                  | (331,403)           | (52,174)                   | (978,738)    |
| Proceeds from drawdown                                       | -                                  | -                                           | -                               | 3,501,101                 | 11,270,000          | -                          | 14,771,101   |
| Advances received                                            | 9,654,870                          | 6,204,805                                   | -                               | -                         | -                   | -                          | 15,859,675   |
|                                                              | 172,692                            | 3,355,125                                   | (399,579)                       | 830,021                   | 1,958,719           | (611,841)                  | 5,305,137    |
| <u>Other Changes</u>                                         |                                    |                                             |                                 |                           |                     |                            |              |
| Acquisition of new lease                                     | -                                  | -                                           | -                               | -                         | -                   | 40,833                     | 40,833       |
| Acquisition of property, plant and<br>equipment (Note 33(a)) | -                                  | -                                           | 2,082,124                       | -                         | -                   | -                          | 2,082,124    |
| Changes due to lease modification                            | -                                  | -                                           | -                               | -                         | -                   | 225,226                    | 225,226      |
| Interest expense recognised in profit or<br>loss             | -                                  | 1,271,227                                   | 86,475                          | 33,233                    | 331,403             | 52,174                     | 1,774,512    |
|                                                              | -                                  | 1,271,227                                   | 2,168,599                       | 33,233                    | 331,403             | 318,233                    | 4,122,695    |
| At 31 December 2023                                          | 5,775,939                          | 4,626,352                                   | 1,769,020                       | 863,254                   | 11,171,615          | 732,225                    | 24,938,405   |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 33. CASH FLOW INFORMATION (CONT'D)

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

|                                                              | Amount Owing<br>to Directors<br>RM | Amount Owing<br>to Related<br>Parties<br>RM | Hire Purchase<br>Payables<br>RM | Promissory<br>Notes<br>RM | Term<br>Loans<br>RM | Lease<br>Liabilities<br>RM | Total<br>RM  |
|--------------------------------------------------------------|------------------------------------|---------------------------------------------|---------------------------------|---------------------------|---------------------|----------------------------|--------------|
| <b>Audited</b>                                               |                                    |                                             |                                 |                           |                     |                            |              |
| <b>31 December 2024</b>                                      |                                    |                                             |                                 |                           |                     |                            |              |
| At 1 January 2024                                            | 5,775,939                          | 4,626,352                                   | 1,769,020                       | 863,254                   | 11,171,615          | 732,225                    | 24,938,405   |
| <u>Changes in Financing Cash Flows</u>                       |                                    |                                             |                                 |                           |                     |                            |              |
| Repayment of principal                                       | (5,746,668)                        | (3,485,214)                                 | (286,265)                       | (3,462,756)               | (289,193)           | (660,956)                  | (13,931,052) |
| Repayment of interests                                       | -                                  | (212,828)                                   | (79,607)                        | (44,964)                  | (957,382)           | (41,136)                   | (1,335,917)  |
| Proceeds from drawdown                                       | -                                  | -                                           | -                               | 3,527,213                 | 12,684,330          | -                          | 16,211,543   |
| Advances received                                            | 146,235                            | -                                           | -                               | -                         | -                   | -                          | 146,235      |
|                                                              | (5,600,433)                        | (3,698,042)                                 | (365,872)                       | 19,493                    | 11,437,755          | (702,092)                  | 1,090,809    |
| <u>Other Changes</u>                                         |                                    |                                             |                                 |                           |                     |                            |              |
| Acquisition of a subsidiary<br>(Note 31.1)                   | 674,609                            | -                                           | -                               | -                         | 437,804             | -                          | 1,112,413    |
| Acquisition of property, plant and<br>equipment (Note 33(a)) | -                                  | -                                           | 237,600                         | -                         | -                   | -                          | 237,600      |
| Changes due to lease modification                            | -                                  | -                                           | -                               | -                         | -                   | 250,530                    | 250,530      |
| Interest expense recognised in profit<br>or loss             | -                                  | 392,631                                     | 79,607                          | 44,964                    | 1,081,711           | 41,136                     | 1,640,049    |
|                                                              | 674,609                            | 392,631                                     | 317,207                         | 44,964                    | 1,519,515           | 291,666                    | 3,240,592    |
| At 31 December 2024                                          | 850,115                            | 1,320,941                                   | 1,720,355                       | 927,711                   | 24,128,885          | 321,799                    | 29,269,806   |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 33. CASH FLOW INFORMATION (CONT'D)

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

|                                                  | Amount Owing<br>to Directors<br>RM | Amount Owing<br>to Related<br>Parties<br>RM | Hire Purchase<br>Payables<br>RM | Promissory<br>Notes<br>RM | Term<br>Loans<br>RM | Lease<br>Liabilities<br>RM | Total<br>RM |
|--------------------------------------------------|------------------------------------|---------------------------------------------|---------------------------------|---------------------------|---------------------|----------------------------|-------------|
| <b>Unaudited<br/>31 July 2024</b>                |                                    |                                             |                                 |                           |                     |                            |             |
| At 1 January 2024                                | 5,775,939                          | 4,626,352                                   | 1,769,020                       | 863,254                   | 11,171,615          | 732,225                    | 24,938,405  |
| <u>Changes in Financing Cash Flows</u>           |                                    |                                             |                                 |                           |                     |                            |             |
| Repayment of principal                           | (3,669,043)                        | (356,243)                                   | (158,299)                       | (1,264,667)               | (113,178)           | (376,219)                  | (5,937,649) |
| Repayment of interests                           | -                                  | (1,384)                                     | (44,785)                        | (16,537)                  | (447,088)           | (28,162)                   | (537,956)   |
| Proceeds from drawdown                           | -                                  | -                                           | -                               | 1,721,937                 | -                   | -                          | 1,721,937   |
| Advances received                                | 118,831                            | -                                           | -                               | -                         | -                   | -                          | 118,831     |
|                                                  | (3,550,212)                        | (357,627)                                   | (203,084)                       | 440,733                   | (560,266)           | (404,381)                  | (4,634,837) |
| <u>Other Changes</u>                             |                                    |                                             |                                 |                           |                     |                            |             |
| Acquisition of a subsidiary<br>(Note 31.1)       | 674,609                            | -                                           | -                               | -                         | 437,804             | -                          | 1,112,413   |
| Changes due to lease modification                | -                                  | -                                           | -                               | -                         | -                   | 218,931                    | 218,931     |
| Interest expense recognised in profit<br>or loss | -                                  | 392,631                                     | 44,785                          | 16,537                    | 501,190             | 28,162                     | 983,305     |
|                                                  | 674,609                            | 392,631                                     | 44,785                          | 16,537                    | 938,994             | 247,093                    | 2,314,649   |
| At 31 July 2024                                  | 2,900,336                          | 4,661,356                                   | 1,610,721                       | 1,320,524                 | 11,550,343          | 574,937                    | 22,618,217  |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 33. CASH FLOW INFORMATION (CONT'D)

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

|                                                              | Amount Owing<br>to Directors<br>RM | Amount Owing<br>to Related<br>Parties<br>RM | Hire Purchase<br>Payables<br>RM | Promissory<br>Notes<br>RM | Term<br>Loans<br>RM | Lease<br>Liabilities<br>RM | Total<br>RM |
|--------------------------------------------------------------|------------------------------------|---------------------------------------------|---------------------------------|---------------------------|---------------------|----------------------------|-------------|
| <b>Audited<br/>31 July 2025</b>                              |                                    |                                             |                                 |                           |                     |                            |             |
| At 1 January 2025                                            | 850,115                            | 1,320,941                                   | 1,720,355                       | 927,711                   | 24,128,885          | 321,799                    | 29,269,806  |
| <u>Changes in Financing Cash Flows</u>                       |                                    |                                             |                                 |                           |                     |                            |             |
| Repayment of principal                                       | (3,384,804)                        | (1,139,754)                                 | (199,944)                       | (2,260,787)               | (388,660)           | (205,113)                  | (7,579,062) |
| Repayment of interests                                       | -                                  | (181,187)                                   | (46,058)                        | (29,640)                  | (986,400)           | (9,441)                    | (1,252,726) |
| Proceeds from drawdown                                       | -                                  | -                                           | -                               | 2,158,503                 | 18,600,000          | -                          | 20,758,503  |
| Advances received                                            | 5,680,000                          | -                                           | -                               | -                         | -                   | -                          | 5,680,000   |
|                                                              | 2,295,196                          | (1,320,941)                                 | (246,002)                       | (131,924)                 | 17,224,940          | (214,554)                  | 17,606,715  |
| <u>Other Changes</u>                                         |                                    |                                             |                                 |                           |                     |                            |             |
| Acquisition of property, plant and<br>equipment (Note 33(a)) | -                                  | -                                           | 215,000                         | -                         | -                   | -                          | 215,000     |
| Changes due to lease modification                            | -                                  | -                                           | -                               | -                         | -                   | 94,391                     | 94,391      |
| Interest expense recognised in profit<br>or loss             | -                                  | -                                           | 46,058                          | 29,640                    | 1,071,550           | 9,441                      | 1,156,689   |
|                                                              | -                                  | -                                           | 261,058                         | 29,640                    | 1,071,550           | 103,832                    | 1,466,080   |
| At 31 July 2025                                              | 3,145,311                          | -                                           | 1,735,411                       | 825,427                   | 42,425,375          | 211,077                    | 48,342,601  |

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**33. CASH FLOW INFORMATION (CONT'D)**

(c) The total cash outflows for leases as a lessee are as follows:-

|                                    | <----- Audited ----->        |                |                | Unaudited<br>1.1.2024 to<br>31.7.2024<br>RM | Audited<br>1.1.2025 to<br>31.7.2025<br>RM |
|------------------------------------|------------------------------|----------------|----------------|---------------------------------------------|-------------------------------------------|
|                                    | <----- FYE 31 December-----> |                |                |                                             |                                           |
|                                    | 2022<br>RM                   | 2023<br>RM     | 2024<br>RM     |                                             |                                           |
| Payment of low-value asset         | 1,680                        | 1,540          | 1,260          | 1,120                                       | -                                         |
| Interest paid on lease liabilities | 28,388                       | 52,174         | 41,136         | 28,162                                      | 9,441                                     |
| Payment of lease liabilities       | 510,312                      | 559,667        | 660,956        | 376,219                                     | 205,113                                   |
|                                    | <u>540,380</u>               | <u>613,381</u> | <u>703,352</u> | <u>405,501</u>                              | <u>214,554</u>                            |

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**33. CASH FLOW INFORMATION (CONT'D)**

(d) The cash and cash equivalents comprise the following:-

|                                                        | <----- Audited -----><br><----- FYE 31 December-----> |             |             | Unaudited<br>1.1.2024 to<br>31.7.2024 | Audited<br>1.1.2025 to<br>31.7.2025 |
|--------------------------------------------------------|-------------------------------------------------------|-------------|-------------|---------------------------------------|-------------------------------------|
|                                                        | 2022<br>RM                                            | 2023<br>RM  | 2024<br>RM  | RM                                    | RM                                  |
| Fixed deposits with licensed banks                     | 1,034,768                                             | 3,881,753   | 3,408,230   | 4,252,024                             | 2,364,167                           |
| Cash and bank balances                                 | 2,391,161                                             | 12,595,847  | 4,311,166   | 4,593,444                             | 1,573,583                           |
| Bank overdrafts                                        | -                                                     | -           | -           | -                                     | (1,402,123)                         |
|                                                        | 3,425,929                                             | 16,477,600  | 7,719,396   | 8,845,468                             | 2,535,627                           |
| Less: Fixed deposits pledged with licensed banks       | (1,034,768)                                           | (631,029)   | (1,726,971) | (2,582,457)                           | (2,364,167)                         |
| Less: Fixed deposits with tenure of more than 3 months | -                                                     | (1,392,608) | (1,681,259) | (1,669,567)                           | -                                   |
|                                                        | 2,391,161                                             | 14,453,963  | 4,311,166   | 4,593,444                             | 171,460                             |

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**34. KEY MANAGEMENT PERSONNEL COMPENSATION**

The key management personnel of the Group include executive directors and certain members of senior management of the Group.

The key management personnel compensation during the financial year are as follows:-

|                                        | <----- Audited -----><br><----- FYE 31 December-----> |                  |                  | Unaudited      | Audited          |
|----------------------------------------|-------------------------------------------------------|------------------|------------------|----------------|------------------|
|                                        | 2022                                                  | 2023             | 2024             | 1.1.2024 to    | 1.1.2025 to      |
|                                        | RM                                                    | RM               | RM               | 31.7.2024      | 31.7.2025        |
|                                        |                                                       |                  |                  | RM             | RM               |
| <b>Directors of the Group</b>          |                                                       |                  |                  |                |                  |
| Short-term employee benefits:          |                                                       |                  |                  |                |                  |
| - salaries, bonuses and other benefits | 856,665                                               | 1,333,167        | 1,910,775        | 788,883        | 1,031,928        |
| - defined contribution plan            | 146,574                                               | 220,967          | 270,483          | 135,196        | 171,323          |
| Total directors' remuneration          | <u>1,003,239</u>                                      | <u>1,554,134</u> | <u>2,181,258</u> | <u>924,079</u> | <u>1,203,251</u> |

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**34. KEY MANAGEMENT PERSONNEL COMPENSATION (CONT'D)**

The key management personnel compensation during the financial year are as follows (Cont'd):-

|                                                       | <----- Audited -----><br><----- FYE 31 December-----> |                |                | Unaudited      | Audited        |
|-------------------------------------------------------|-------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                       | 2022                                                  | 2023           | 2024           | 1.1.2024 to    | 1.1.2025 to    |
|                                                       | RM                                                    | RM             | RM             | 31.7.2024      | 31.7.2025      |
|                                                       |                                                       |                |                | RM             | RM             |
| <b>Other Key Management Personnel</b>                 |                                                       |                |                |                |                |
| Short-term employee benefits:                         |                                                       |                |                |                |                |
| - salaries and other benefits                         | 167,525                                               | 229,830        | 248,686        | 111,776        | 128,148        |
| - defined contribution plan                           | 19,842                                                | 27,240         | 29,469         | 13,200         | 15,121         |
|                                                       | <u>187,367</u>                                        | <u>257,070</u> | <u>278,155</u> | <u>124,976</u> | <u>143,269</u> |
| Total compensation for other key management personnel | 187,367                                               | 257,070        | 278,155        | 124,976        | 143,269        |

The estimated monetary value of benefits-in-kind provided by the Group to the Directors were RM18,340 (31.12.2024 - RM33,800, 31.7.2024 - RM16,333, 31.12.2023 - Nil and 31.12.2022 - Nil).

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 35. RELATED PARTY DISCLOSURES

#### Significant Related Party Transactions and Balances

The Group carried out the following significant transactions with the related parties during the financial year:-

|                                              | <----- Audited -----><br><----- FYE 31 December-----> |            |            | Unaudited   | Audited     |
|----------------------------------------------|-------------------------------------------------------|------------|------------|-------------|-------------|
|                                              | 2022                                                  | 2023       | 2024       | 1.1.2024 to | 1.1.2025 to |
|                                              | RM                                                    | RM         | RM         | 31.7.2024   | 31.7.2025   |
|                                              |                                                       |            |            | RM          | RM          |
| Related parties:                             |                                                       |            |            |             |             |
| - Advances from                              | -                                                     | 6,204,805  | -          | -           | -           |
| - Interest paid/payable                      | -                                                     | 1,271,227  | 392,631    | 392,631     | -           |
| - Building construction cost paid/payable    | 15,961,910                                            | 27,599,650 | 57,245,263 | 43,810,786  | 22,836,632  |
| - Deposit paid/payable                       | -                                                     | -          | 12,500,000 | 12,500,000  | -           |
| - Rental charged                             | 96,000                                                | 96,000     | 141,000    | 76,000      | 91,000      |
| - Purchase of lands                          | -                                                     | 15,882,800 | 5,445,200  | 5,445,200   | -           |
| Directors:                                   |                                                       |            |            |             |             |
| - Advances from                              | 4,925,000                                             | 9,654,870  | 146,235    | 118,831     | 5,680,000   |
| - Sale of development property to a director | -                                                     | 180,720    | 1,310,220  | -           | -           |
| - Dividend paid                              | -                                                     | -          | -          | -           | 12,217,735  |
| Shareholders:                                |                                                       |            |            |             |             |
| - Dividend paid                              | -                                                     | -          | -          | -           | 2,782,053   |

The significant outstanding balances of the related parties together with their terms and conditions are disclosed in Notes 22 and 23 to the consolidated financial statements.

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**36. OPERATING SEGMENTS**

Segment information has not been prepared as the Group's business is focused only in the property development and this forms the focus of the Group's internal reporting systems.

The Group Managing Director reviews the business performance of the Group as a whole and management monitors the operating results of its business for the purposes of making decisions on resources allocation and performance assessment.

**36.1 BUSINESS SEGMENT AND GEOGRAPHICAL INFORMATION**

The Group operates predominantly in one business segment in Malaysia. Accordingly, the information by business segments and geographical segment is not presented.

**36.2 MAJOR CUSTOMER**

The following is major customer with revenue equal to or more than 10% of the Group's total revenue.

|             | <----- Audited ----->        |      |      | Unaudited   | Audited     |
|-------------|------------------------------|------|------|-------------|-------------|
|             | <----- FYE 31 December-----> |      |      | 1.1.2024 to | 1.1.2025 to |
|             | 2022                         | 2023 | 2024 | 31.7.2024   | 31.7.2025   |
|             | RM                           | RM   | RM   | RM          | RM          |
| Customer #1 | 7,734,926                    | -    | -    | -           | -           |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****37. CAPITAL COMMITMENTS**

|                                               | <b>&lt;----- Audited -----&gt;</b>           |             |             |                  |
|-----------------------------------------------|----------------------------------------------|-------------|-------------|------------------|
|                                               | <b>&lt;----- As at 31 December -----&gt;</b> |             |             | <b>As at 31</b>  |
|                                               | <b>2022</b>                                  | <b>2023</b> | <b>2024</b> | <b>July 2025</b> |
|                                               | <b>RM</b>                                    | <b>RM</b>   | <b>RM</b>   | <b>RM</b>        |
| Construction of property, plant and equipment | -                                            | -           | 4,771,236   | 1,822,598        |

**38. FINANCIAL INSTRUMENTS**

The activities of the Group are exposed to a variety of market risk (including foreign currency risk, interest rate risk and equity price risk), credit risk and liquidity risk. The overall financial risk management policy focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Group.

**38.1 FINANCIAL RISK MANAGEMENT POLICIES**

The policies in respect of the major areas of treasury activity are as follows:-

**(a) Market Risk****(i) Foreign Currency Risk**

The Group does not have any transactions or balances denominated in foreign currencies and hence, is not exposed to foreign currency risk.

**(ii) Interest Rate Risk**

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The exposure to interest rate risk arises mainly from long-term borrowings with variable rates. The Group adopts a policy of obtaining the most favourable interest rates available and by maintaining a balanced portfolio mix of fixed and floating rate borrowings.

The fixed rate debt instruments of the Group are not subject to interest rate risk since neither carrying amounts nor the future cash flows will fluctuate because of a change in market interest rates.

The exposure to interest rate risk based on the carrying amount of the financial instruments at the end of the reporting period are disclosed in Notes 18, 19 and 26 to the consolidated financial statements.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****38. FINANCIAL INSTRUMENTS (CONT'D)****38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(ii) Interest Rate Risk (Cont'd)***Interest Rate Risk Sensitivity Analysis*

The following table details the sensitivity analysis to a reasonably possible change in the interest rates at the end of the reporting period, with all other variables held constant:-

|                                                                                                  | <----- Audited ----->           |          |           |           |
|--------------------------------------------------------------------------------------------------|---------------------------------|----------|-----------|-----------|
|                                                                                                  | <----- As at 31 December -----> |          |           | As at 31  |
|                                                                                                  | 2022                            | 2023     | 2024      | July 2025 |
|                                                                                                  | RM                              | RM       | RM        | RM        |
| <b>Effects on Profit After Taxation/Other Comprehensive Income for the Financial Year/Period</b> |                                 |          |           |           |
| Increase of 100 basis points                                                                     | (67,499)                        | (98,349) | (194,756) | (343,211) |
| Decrease of 100 basis points                                                                     | 67,499                          | 98,349   | 194,756   | 343,211   |

There is no impact on the Group's equity.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****38. FINANCIAL INSTRUMENTS (CONT'D)****38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(iii) Equity Price Risk**

The Group does not have any quoted investments and hence, is not exposed to equity price risk.

**(b) Credit Risk**

The Group's exposure to credit risk, or the risk of counterparties defaulting, arises mainly from trade and other receivables. The Group manages its exposure to credit risk by the application of credit approvals, credit limits and monitoring procedures on an ongoing basis. For other financial assets (including fixed deposits with licensed banks and bank balances), the Group minimises credit risk by dealing exclusively with high credit rating counterparties.

**(i) Credit Risk Concentration Profile**

The Group's major concentration of credit risk relates to the amounts owing by 1 (31.12.2024 - 3, 31.12.2023 - 1 and 31.12.2022 - 2) customers which constituted approximately 85% (31.12.2024 - 57%, 31.12.2023 - 19% and 31.12.2022 - 20%) of its trade receivables at the end of the reporting period.

**(ii) Maximum Exposure to Credit Risk**

At the end of the reporting period, the maximum exposure to credit risk is represented by the carrying amount of each class of financial assets recognised in the statement of financial position after deducting any allowance for impairment losses (where applicable).

**(iii) Assessment of Impairment Losses**

The Group has an informal credit policy in place and the exposure to credit risk is monitored on an on-going basis through periodic review of the ageing of the trade receivables. The Group closely monitors the trade receivables' financial strength to reduce the risk of loss.

For property development, purchasers are normally supported by end-financiers which are reputable banks in Malaysia. For self-financed purchasers, the Group extends credit based upon careful evaluation of the purchaser's general background. Trade receivables are monitored on an ongoing basis by the Group's credit control department.

At each reporting date, the Group evaluate whether any of the financial assets at amortised cost and contract assets are credit impaired.

---

**14. ACCOUNTANTS' REPORT (CONT'D)**

---

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**38. FINANCIAL INSTRUMENTS (CONT'D)**

**38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)**

**(b) Credit Risk (Cont'd)**

**(iii) Assessment of Impairment Losses (Cont'd)**

The gross carrying amounts of financial assets are written off against the associated impairment, if any, when there is no reasonable expectation of recovery despite the fact that they are still subject to enforcement activities.

A financial asset is credit impaired when any of following events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred:

- Significant financial difficult of the receivable;
- A breach of contract, such as a default or past due event;
- Restructuring of a debt in relation to the receivable's financial difficulty; or
- It is becoming probable that the receivable will enter bankruptcy or other financial reorganisation.

The Group considers a receivable to be in default when the receivable is unlikely to repay its debt to the Group in full or is more than 120 days past due unless the Group has reasonable and supportable information to demonstrate that a more a lagging default criterion is more appropriate. The Group uses a more lagging pass due criterion for certain trade receivables when it is more appropriate to reflect their loss patterns.

Trade Receivables and Contract Assets

The Group applies the simplified approach to measure expected credit losses using a lifetime expected loss allowance for all trade receivables and contract assets.

The contract assets relate to unbilled work in progress and have substantially the same risk characteristics as the trade receivables for the same types of contracts. Therefore, the Group concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

---

**14. ACCOUNTANTS' REPORT (CONT'D)**

---

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**38. FINANCIAL INSTRUMENTS (CONT'D)**

**38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)**

**(b) Credit Risk (Cont'd)**

**(iii) Assessment of Impairment Losses (Cont'd)**

Trade Receivables and Contract Assets (Cont'd)

*Inputs, Assumptions and Techniques used for Estimating Impairment Losses*

The Group measures the expected credit losses of certain major customers, trade receivables that are credit impaired and trade receivables with a high risk of default on individual basis.

The expected loss rates are based on the payment profiles of sales over 12 months (31.12.2024 - 12 months, 31.12.2023 - 12 months and 31.12.2022 - 12 months) before the reporting date and the corresponding historical credit losses experienced within this period. The historical loss rates were not adjusted to reflect forward-looking information on macroeconomic factors affecting the ability of the trade receivables to settle their debts as the Group has not identified any forward-looking assumptions which correlate to the historical loss rates.

There are purchasers where the Group manages its credit exposure by maintaining its name as the registered owner of the properties sold until full settlement by the self-financed purchasers or upon the purchasers obtaining their end-financing.

There are no significant changes in the estimation techniques and assumptions as compared to the previous financial year.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****38. FINANCIAL INSTRUMENTS (CONT'D)****38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Trade Receivables and Contract Assets (Cont'd)*Allowance for Impairment Losses*

The information about the credit exposure and loss allowances recognised for trade receivables and contract assets are as follows:-

|                         | Gross<br>Amount<br>RM | Lifetime<br>Individual<br>Allowance<br>RM | Lifetime<br>Collective<br>Allowance<br>RM | Carrying<br>Amount<br>RM |
|-------------------------|-----------------------|-------------------------------------------|-------------------------------------------|--------------------------|
| <b>Audited</b>          |                       |                                           |                                           |                          |
| <b>31 December 2022</b> |                       |                                           |                                           |                          |
| Not pass due            | 3,115,088             | -                                         | -                                         | 3,115,088                |
| Past due:               |                       |                                           |                                           |                          |
| - less than 3 months    | 1,222,909             | -                                         | -                                         | 1,222,909                |
| - 3 to 6 months         | 24,406                | -                                         | -                                         | 24,406                   |
| - more than 6 months    | 767,973               | -                                         | -                                         | 767,973                  |
| Trade receivables       | 5,130,376             | -                                         | -                                         | 5,130,376                |
| Contract assets         | 24,370,911            | -                                         | -                                         | 24,370,911               |
|                         | 29,501,287            | -                                         | -                                         | 29,501,287               |
| <b>Audited</b>          |                       |                                           |                                           |                          |
| <b>31 December 2023</b> |                       |                                           |                                           |                          |
| Not pass due            | 4,577,403             | -                                         | -                                         | 4,577,403                |
| Past due:               |                       |                                           |                                           |                          |
| - less than 3 months    | 2,980,222             | -                                         | -                                         | 2,980,222                |
| Trade receivables       | 7,557,625             | -                                         | -                                         | 7,557,625                |
| Contract assets         | 10,552,479            | -                                         | -                                         | 10,552,479               |
|                         | 18,110,104            | -                                         | -                                         | 18,110,104               |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****38. FINANCIAL INSTRUMENTS (CONT'D)****38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Trade Receivables and Contract Assets (Cont'd)Allowance for Impairment Losses (Cont'd)

The information about the credit exposure and loss allowances recognised for trade receivables and contract assets are as follows (Cont'd):-

|                         | Gross<br>Amount<br>RM | Lifetime<br>Individual<br>Allowance<br>RM | Lifetime<br>Collective<br>Allowance<br>RM | Carrying<br>Amount<br>RM |
|-------------------------|-----------------------|-------------------------------------------|-------------------------------------------|--------------------------|
| <b>Audited</b>          |                       |                                           |                                           |                          |
| <b>31 December 2024</b> |                       |                                           |                                           |                          |
| Not pass due            | 1,350,355             | -                                         | -                                         | 1,350,355                |
| Past due:               |                       |                                           |                                           |                          |
| - less than 3 months    | 939,170               | -                                         | (108,588)                                 | 830,582                  |
| - 3 to 6 months         | 2,203,953             | -                                         | (461,904)                                 | 1,742,049                |
| Trade receivables       | 4,493,478             | -                                         | (570,492)                                 | 3,922,986                |
| Contract assets         | 20,957,536            | -                                         | -                                         | 20,957,536               |
|                         | 25,451,014            | -                                         | (570,492)                                 | 24,880,522               |
| <b>Audited</b>          |                       |                                           |                                           |                          |
| <b>31 July 2025</b>     |                       |                                           |                                           |                          |
| Not pass due            | 9,930,089             | -                                         | -                                         | 9,930,089                |
| Past due:               |                       |                                           |                                           |                          |
| - less than 3 months    | 538,402               | -                                         | -                                         | 538,402                  |
| - 3 to 6 months         | 925,695               | -                                         | (440,300)                                 | 485,395                  |
| Trade receivables       | 11,394,186            | -                                         | (440,300)                                 | 10,953,886               |
| Contract assets         | 491,068               | -                                         | -                                         | 491,068                  |
|                         | 11,885,254            | -                                         | (440,300)                                 | 11,444,954               |

---

**14. ACCOUNTANTS' REPORT (CONT'D)**

---

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**38. FINANCIAL INSTRUMENTS (CONT'D)**

**38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)**

**(b) Credit Risk (Cont'd)**

**(iii) Assessment of Impairment Losses (Cont'd)**

Trade Receivables and Contract Assets (Cont'd)

*Allowance for Impairment Losses (Cont'd)*

Trade receivables and contract assets that are individually determined to be impaired relate to debtors who are in significant financial difficulties and have defaulted on payments. These debtors are not secured by any collateral or credit enhancements.

Trade receivables and contract assets that are collectively determined to be impaired relate to expected credit losses measured based on the Group's observed default rates.

Other Receivables

The Group applies the 3-stage general approach to measuring expected credit losses for its other receivables.

*Inputs, Assumptions and Techniques used for Estimating Impairment Losses*

Under this approach, the Group assesses whether there is a significant increase in credit risk for receivables by comparing the risk of a default as at the reporting date with the risk of default as at the date of initial recognition. The Group considers there has been a significant increase in credit risk when there are changes in contractual terms or delay in payment. Regardless of the assessment, a significant increase in credit risk is presumed if a receivable is more than 120 days past due in making a contractual payment.

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****38. FINANCIAL INSTRUMENTS (CONT'D)****38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Other Receivables (Cont'd)*Inputs, Assumptions and Techniques used for Estimating Impairment Losses (Cont'd)*

The Group uses 3 categories to reflect its credit risk and how the loss allowance is determined for each category:-

| <u>Category</u>  | <u>Definition of Category</u>                                                                 | <u>Loss Allowance</u>            |
|------------------|-----------------------------------------------------------------------------------------------|----------------------------------|
| Performing:      | Receivables have a low risk of default and a strong capacity to meet contractual cash flows   | 12-months expected credit losses |
| Underperforming: | Receivables for which there is a significant increase in credit risk                          | Lifetime expected credit losses  |
| Non-performing:  | There is evidence indicating the receivable is credit impaired or more than 120 days past due | Lifetime expected credit losses  |

The Group measures the expected credit losses of receivables having significant balances, receivables that are credit impaired and receivables with a high risk of default on an individual basis. The remaining receivables are grouped based on shared credit risk characteristics and assessed on a collective basis.

Loss allowance is measured on either 12-month expected credit losses or lifetime expected credit losses, by considering the likelihood that the receivable would not be able to repay during the contractual period (probability of default, PD), the percentage of contractual cash flows that will not be collected if default happens (loss given default, LGD) and the outstanding amount that is exposed to default risk (exposure at default, EAD).

In deriving the PD and LGD, the Group considers the receivable's past payment status and its financial condition as at the reporting date. The PD was not adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the receivable to settle its debts as the Group has not identified any forward-looking assumptions which correlate to the PD.

---

**14. ACCOUNTANTS' REPORT (CONT'D)**

---

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**38. FINANCIAL INSTRUMENTS (CONT'D)**

**38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)**

**(b) Credit Risk (Cont'd)**

**(iii) Assessment of Impairment Losses (Cont'd)**

Other Receivables (Cont'd)

*Inputs, Assumptions and Techniques used for Estimating Impairment Losses (Cont'd)*

There are no significant changes in the estimation techniques and assumptions as compared to the previous financial year.

*Allowance for Impairment Losses*

Based on the assessment performed, the identified impairment loss was immaterial and hence, it is not provided for.

Fixed Deposits with Licensed Banks and Cash and Bank Balances

The Group considers the licensed banks have low credit risks. In addition, some of the bank balances are insured by Government agencies. Therefore, the Group is of the view that the loss allowance is immaterial and hence, it is not provided for.

**(c) Liquidity Risk**

Liquidity risk arises mainly from general funding and business activities. The Group practises prudent risk management by maintaining sufficient cash balances and the availability of funding through certain committed credit facilities.

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 38. FINANCIAL INSTRUMENTS (CONT'D)

#### 38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

##### (c) Liquidity Risk (Cont'd)

##### *Maturity Analysis*

The following table sets out the maturity profile of the financial liabilities at the end of the reporting period based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period):-

|                                             | Carrying<br>Amount<br>RM | Contractual<br>Undiscounted<br>Cash Flows<br>RM | Within<br>1 Year<br>RM | Within<br>2 - 5 Years<br>RM |
|---------------------------------------------|--------------------------|-------------------------------------------------|------------------------|-----------------------------|
| <b>Audited</b>                              |                          |                                                 |                        |                             |
| <b>31 December 2022</b>                     |                          |                                                 |                        |                             |
| <u>Non-derivative Financial Liabilities</u> |                          |                                                 |                        |                             |
| Lease liabilities                           | 1,025,833                | 1,104,500                                       | 518,000                | 586,500                     |
| Term loans                                  | 8,881,493                | 9,693,679                                       | 4,064,943              | 5,628,736                   |
| Trade payables                              | 7,011,250                | 7,011,250                                       | 7,011,250              | -                           |
| Other payables and accruals                 | 18,905,931               | 18,905,931                                      | 18,905,931             | -                           |
| Amount owing to related parties             | 13,171,967               | 13,171,967                                      | 13,171,967             | -                           |
| Amount owing to directors                   | 5,603,247                | 5,603,247                                       | 5,603,247              | -                           |
|                                             | <b>54,599,721</b>        | <b>55,490,574</b>                               | <b>49,275,338</b>      | <b>6,215,236</b>            |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 38. FINANCIAL INSTRUMENTS (CONT'D)

#### 38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

##### (c) Liquidity Risk (Cont'd)

##### *Maturity Analysis (Cont'd)*

The following table sets out the maturity profile of the financial liabilities at the end of the reporting period based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period) (Cont'd):-

|                                             | Carrying<br>Amount<br>RM | Contractual<br>Undiscounted<br>Cash Flows<br>RM | Within<br>1 Year<br>RM | 1 - 5<br>Years<br>RM | Over<br>5 years<br>RM |
|---------------------------------------------|--------------------------|-------------------------------------------------|------------------------|----------------------|-----------------------|
| <b>Audited</b>                              |                          |                                                 |                        |                      |                       |
| <b>31 December 2023</b>                     |                          |                                                 |                        |                      |                       |
| <u>Non-derivative Financial Liabilities</u> |                          |                                                 |                        |                      |                       |
| Lease liabilities                           | 732,225                  | 767,940                                         | 643,140                | 124,800              | -                     |
| Promissory notes                            | 863,254                  | 863,254                                         | 863,254                | -                    | -                     |
| Term loans                                  | 11,171,615               | 14,049,318                                      | 969,522                | 9,508,803            | 3,570,993             |
| Hire purchase payables                      | 1,769,020                | 2,000,274                                       | 348,406                | 1,381,258            | 270,610               |
| Trade payables                              | 3,153,776                | 3,153,776                                       | 3,153,776              | -                    | -                     |
| Other payables and accruals                 | 9,511,411                | 9,511,411                                       | 9,511,411              | -                    | -                     |
| Amount owing to related parties             | 9,202,228                | 9,202,228                                       | 9,202,228              | -                    | -                     |
| Amount owing to directors                   | 5,775,939                | 5,775,939                                       | 5,775,939              | -                    | -                     |
|                                             | 42,179,468               | 45,324,140                                      | 30,467,676             | 11,014,861           | 3,841,603             |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 38. FINANCIAL INSTRUMENTS (CONT'D)

#### 38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

##### (c) Liquidity Risk (Cont'd)

##### Maturity Analysis (Cont'd)

The following table sets out the maturity profile of the financial liabilities at the end of the reporting period based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period) (Cont'd):-

|                                             | Carrying<br>Amount<br>RM | Contractual<br>Undiscounted<br>Cash Flows<br>RM | Within<br>1 Year<br>RM | Within<br>1 - 5<br>Years<br>RM | Over<br>5 years<br>RM |
|---------------------------------------------|--------------------------|-------------------------------------------------|------------------------|--------------------------------|-----------------------|
| <b>Audited</b>                              |                          |                                                 |                        |                                |                       |
| <b>31 December 2024</b>                     |                          |                                                 |                        |                                |                       |
| <u>Non-derivative Financial Liabilities</u> |                          |                                                 |                        |                                |                       |
| Lease liabilities                           | 321,799                  | 333,750                                         | 275,700                | 58,050                         | -                     |
| Promissory notes                            | 927,711                  | 927,711                                         | 927,711                | -                              | -                     |
| Term loans                                  | 24,128,885               | 30,758,160                                      | 2,352,089              | 21,258,779                     | 7,147,292             |
| Hire purchase payables                      | 1,720,355                | 1,900,276                                       | 401,328                | 1,498,948                      | -                     |
| Trade payables                              | 3,959,806                | 3,959,806                                       | 3,959,806              | -                              | -                     |
| Other payables and accruals                 | 8,906,982                | 8,906,982                                       | 8,906,982              | -                              | -                     |
| Amount owing to related parties             | 11,158,169               | 11,158,169                                      | 11,158,169             | -                              | -                     |
| Amount owing to directors                   | 850,115                  | 850,115                                         | 850,115                | -                              | -                     |
|                                             | 51,973,822               | 58,794,969                                      | 28,831,900             | 22,815,777                     | 7,147,292             |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 38. FINANCIAL INSTRUMENTS (CONT'D)

#### 38.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

##### (c) Liquidity Risk (Cont'd)

##### *Maturity Analysis (Cont'd)*

The following table sets out the maturity profile of the financial liabilities at the end of the reporting period based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period) (Cont'd):-

|                                             | Carrying<br>Amount<br>RM | Contractual<br>Undiscounted<br>Cash Flows<br>RM | Within<br>1 Year<br>RM | Within<br>1 - 5<br>Years<br>RM | Over<br>5 years<br>RM |
|---------------------------------------------|--------------------------|-------------------------------------------------|------------------------|--------------------------------|-----------------------|
| <b>Audited</b>                              |                          |                                                 |                        |                                |                       |
| <b>31 July 2025</b>                         |                          |                                                 |                        |                                |                       |
| <u>Non-derivative Financial Liabilities</u> |                          |                                                 |                        |                                |                       |
| Lease liabilities                           | 211,077                  | 303,274                                         | 258,740                | 44,534                         | -                     |
| Promissory notes                            | 825,427                  | 825,427                                         | 825,427                | -                              | -                     |
| Term loans                                  | 42,425,375               | 53,494,783                                      | 4,770,055              | 33,674,469                     | 15,050,259            |
| Hire purchase payables                      | 1,735,411                | 1,892,919                                       | 458,143                | 1,434,776                      | -                     |
| Bank overdraft                              | 1,402,123                | 1,402,123                                       | 1,402,123              | -                              | -                     |
| Trade payables                              | 4,265,130                | 4,265,130                                       | 4,265,130              | -                              | -                     |
| Other payables and accruals                 | 6,643,331                | 6,643,331                                       | 6,643,331              | -                              | -                     |
| Amount owing to related parties             | 14,258,992               | 14,258,992                                      | 14,258,992             | -                              | -                     |
| Amount owing to directors                   | 3,145,311                | 3,145,311                                       | 3,145,311              | -                              | -                     |
|                                             | <b>74,912,177</b>        | <b>86,231,290</b>                               | <b>36,027,252</b>      | <b>35,153,779</b>              | <b>15,050,259</b>     |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 38. FINANCIAL INSTRUMENTS (CONT'D)

#### 38.2 CAPITAL RISK MANAGEMENT

The Group manages its capital to ensure that entities within the Group will be able to maintain an optimal capital structure so as to support its businesses and maximise shareholders value. To achieve this objective, the Group may make adjustments to the capital structure in view of changes in economic conditions, such as adjusting the amount of dividend payment, returning of capital to shareholders or issuing new shares.

The Group manages its capital based on a debt-to-equity ratio that complies with debt covenants and regulatory, if any. The debt-to-equity ratio was calculated as net debt divided by total equity. The Group included within net debt, loans and borrowings from financial institutions less cash and cash equivalents. Capital included equity attributable to the owners of the parent and non-controlling interests. The debt-to-equity ratio of the Group at the end of the reporting period is as follows:-

|                                              | <b>&lt;----- Audited -----&gt;</b>           |              |             | <b>As at 31 July 2025</b> |
|----------------------------------------------|----------------------------------------------|--------------|-------------|---------------------------|
|                                              | <b>&lt;----- As at 31 December -----&gt;</b> |              |             |                           |
|                                              | <b>2022</b>                                  | <b>2023</b>  | <b>2024</b> |                           |
|                                              | <b>RM</b>                                    | <b>RM</b>    | <b>RM</b>   | <b>RM</b>                 |
| Promissory notes                             | -                                            | 863,254      | 927,711     | 825,427                   |
| Term loans                                   | 8,881,493                                    | 11,171,615   | 24,128,885  | 42,425,375                |
| Hire purchase payables                       | -                                            | 1,769,020    | 1,720,355   | 1,735,411                 |
| Less: Cash and cash equivalents (Note 33(d)) | (2,391,161)                                  | (14,453,963) | (4,311,166) | (171,460)                 |
| (Net cash)/Net debt                          | 6,490,332                                    | (650,074)    | 22,465,785  | 44,814,753                |
| Total equity                                 | 29,055,749                                   | 36,943,362   | 48,806,172  | 37,738,984                |
| Debt-to-equity ratio                         | 0.22                                         | *            | 0.46        | 1.19                      |

\* Not applicable as the Group's cash and cash equivalents exceed its borrowings.

There were no changes in the approach to capital management during the financial year/period.

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**38. FINANCIAL INSTRUMENTS (CONT'D)**

**38.3 CLASSIFICATION OF FINANCIAL INSTRUMENTS**

|                                    | <----- Audited ----->           |            |            |            |
|------------------------------------|---------------------------------|------------|------------|------------|
|                                    | <----- As at 31 December -----> |            |            | As at 31   |
|                                    | 2022                            | 2023       | 2024       | July 2025  |
|                                    | RM                              | RM         | RM         | RM         |
| <b>Financial Asset</b>             |                                 |            |            |            |
| <u>Amortised Cost</u>              |                                 |            |            |            |
| Trade receivables                  | 5,130,376                       | 7,557,625  | 3,922,986  | 10,953,886 |
| Other receivables                  | 313,435                         | 268,560    | 50,322     | 311,470    |
| Fixed deposits with licensed banks | 1,034,768                       | 3,881,753  | 3,408,230  | 2,364,167  |
| Cash and bank balances             | 2,391,161                       | 12,595,847 | 4,311,166  | 1,573,583  |
|                                    | 8,869,740                       | 24,303,785 | 11,692,704 | 15,203,106 |

# 14. ACCOUNTANTS' REPORT (CONT'D)

## JRK HOLDINGS BERHAD

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

### 38. FINANCIAL INSTRUMENTS (CONT'D)

#### 38.3 CLASSIFICATION OF FINANCIAL INSTRUMENTS

|                                 | <----- Audited ----->           |            |            |            |
|---------------------------------|---------------------------------|------------|------------|------------|
|                                 | <----- As at 31 December -----> |            |            | As at 31   |
|                                 | 2022                            | 2023       | 2024       | July 2025  |
|                                 | RM                              | RM         | RM         | RM         |
| <b>Financial Liability</b>      |                                 |            |            |            |
| <u>Amortised Cost</u>           |                                 |            |            |            |
| Promissory notes                | -                               | 863,254    | 927,711    | 825,427    |
| Term loans                      | 8,881,493                       | 11,171,615 | 24,128,885 | 42,425,375 |
| Hire purchase payables          | -                               | 1,769,020  | 1,720,355  | 1,735,411  |
| Bank overdraft                  | -                               | -          | -          | 1,402,123  |
| Trade payables                  | 7,011,250                       | 3,153,776  | 3,959,806  | 4,265,130  |
| Other payables and accruals     | 18,905,931                      | 9,511,411  | 8,906,982  | 6,643,331  |
| Amount owing to related parties | 13,171,967                      | 9,202,228  | 11,158,169 | 14,258,992 |
| Amount owing to directors       | 5,603,247                       | 5,775,939  | 850,115    | 3,145,311  |
|                                 | 53,573,888                      | 41,447,243 | 51,652,023 | 74,701,100 |

**14. ACCOUNTANTS' REPORT (CONT'D)**

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**38. FINANCIAL INSTRUMENTS (CONT'D)**

**38.4 GAINS/(LOSSES) ARISING FROM FINANCIAL INSTRUMENTS**

|                                                 | <----- Audited ----->         |             |             |             |
|-------------------------------------------------|-------------------------------|-------------|-------------|-------------|
|                                                 | <----- FYE 31 December -----> |             |             | As at 31    |
|                                                 | 2022                          | 2023        | 2024        | 31.7.2025   |
|                                                 | RM                            | RM          | RM          | RM          |
| <b>Financial Asset</b>                          |                               |             |             |             |
| <u>Amortised Cost</u>                           |                               |             |             |             |
| Net gains/(losses) recognised in profit or loss | 18,535                        | 107,254     | (319,048)   | 270,112     |
| <b>Financial Liability</b>                      |                               |             |             |             |
| <u>Amortised Cost</u>                           |                               |             |             |             |
| Net losses recognised in profit or loss         | (1,910,435)                   | (4,065,618) | (1,837,727) | (1,276,383) |

**14. ACCOUNTANTS' REPORT (CONT'D)****JRK HOLDINGS BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****38. FINANCIAL INSTRUMENTS (CONT'D)****38.5 FAIR VALUE INFORMATION**

The fair values of the financial liabilities of the Group which are maturing within the next 12 months approximated their carrying amounts due to the relatively short-term maturity of the financial instruments or repayable on demand terms.

As the Group does not have any financial instruments carried at fair value, the following table sets out the fair value profile of financial instruments that are not carried at fair value at the end of the reporting period:-

|                              | Fair Value of Financial Instruments<br>Not Carried At Fair Value |            |         | Total      | Carrying   |
|------------------------------|------------------------------------------------------------------|------------|---------|------------|------------|
|                              | Level 1                                                          | Level 2    | Level 3 | Fair Value | Amount     |
|                              | RM                                                               | RM         | RM      | RM         | RM         |
| <b>Audited</b>               |                                                                  |            |         |            |            |
| <b>31 December 2022</b>      |                                                                  |            |         |            |            |
| <u>Financial Liabilities</u> |                                                                  |            |         |            |            |
| Term loans                   | -                                                                | 8,881,493  | -       | 8,881,493  | 8,881,493  |
| <b>Audited</b>               |                                                                  |            |         |            |            |
| <b>31 December 2023</b>      |                                                                  |            |         |            |            |
| <u>Financial Liabilities</u> |                                                                  |            |         |            |            |
| Term loans                   | -                                                                | 11,171,615 | -       | 11,171,615 | 11,171,615 |
| Hire purchase payables       | -                                                                | 1,769,020  | -       | 1,769,020  | 1,769,020  |
| <b>Audited</b>               |                                                                  |            |         |            |            |
| <b>31 December 2024</b>      |                                                                  |            |         |            |            |
| <u>Financial Liabilities</u> |                                                                  |            |         |            |            |
| Term loans                   | -                                                                | 24,128,885 | -       | 24,128,885 | 24,128,885 |
| Hire purchase payables       | -                                                                | 1,720,355  | -       | 1,720,355  | 1,720,355  |
| <b>Audited</b>               |                                                                  |            |         |            |            |
| <b>31 July 2025</b>          |                                                                  |            |         |            |            |
| <u>Financial Liabilities</u> |                                                                  |            |         |            |            |
| Term loans                   | -                                                                | 42,425,375 | -       | 42,425,375 | 42,425,375 |
| Hire purchase payables       | -                                                                | 1,734,921  | -       | 1,734,921  | 1,735,411  |

---

**14. ACCOUNTANTS' REPORT (CONT'D)**

---

**JRK HOLDINGS BERHAD**

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**

**38. FINANCIAL INSTRUMENTS (CONT'D)**

**38.5 FAIR VALUE INFORMATION (CONT'D)**

The fair value of the Group's term loans and hire purchase payables that carry floating interest rates approximated their carrying amounts as they are repriced to market interest rates on or near the reporting date.

The fair value of the Group's hire purchase payables that carry fixed interest rates is determined by discounting the relevant future contractual cash flows using current market interest for similar instruments at the end of the reporting period. The interest rates used to discount the estimated cash flows of 4.42% (31.12.2024 - 4.52%, 31.12.2023 - Nil and 31.12.2022 - Nil).

**39. SIGNIFICANT EVENT OCCURRING AFTER THE REPORTING PERIOD**

- (a) On 1 September 2025, the Company had subdivided every ordinary share of its existing 11,159,726 shares into sixty-three (63) subdivided shares. Following the completion of the subdivision, the total issued share capital will be 703,062,738 shares.
- (b) On 30 August 2025, JRK (Damansara) and the Company's director have entered into a Joint Development Agreement to jointly develop a piece of freehold residential land with consideration of RM30,000,000.

---

**14. ACCOUNTANTS' REPORT (CONT'D)**

---

**JRK HOLDINGS BERHAD**

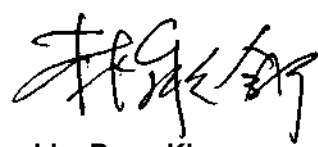
**STATEMENT BY DIRECTORS**

We, Dato' Sri Kwan Aik Khai and Lim Boon Kiong, being two of the director of JRK Holdings Berhad, state that, in the opinion of the directors, the consolidated financial statements set out on pages 4 to 92 are drawn up in accordance with Malaysian Financial Reporting Standards, IFRS Accounting Standards and the Prospectus Guidelines issued by the Securities Commission Malaysia so as to give a true and fair view of the consolidated financial position of the Group as of 31 December 2022, 31 December 2023, 31 December 2024 and 31 July 2025 and of its consolidated financial performance and its consolidated cash flows for the financial year ended 31 December 2022, 31 December 2023, 31 December 2024 and for the 7-months financial period ended 31 July 2025.

Signed in accordance with a resolution of the directors dated **19 DEC 2025**



Dato' Sri Kwan Aik Khai



Lim Boon Kiong